

CHINA INDUSTRIAL TECH

Downgrade the highfliers: Han's Laser to Neutral and Jianghai to Sell; Prefer solid growth at reasonable price; 2Q sector preview

We preview the sector 2Q results, overall expecting slightly better performance than 1Q, with average sector revenue and EPS yoy growth projected to accelerate to +18%/+12% respectively (vs. +16%/+5% yoy in 1Q). Beats are likely to come from AI Infrastructure and factory automation space while misses are likely due to China ICE/EV/solar revenue exposure and lingering cost inflation/FX impact. With that said, we view significant share price divergence ytd for the sector (-39% to +145%) has largely factored in such expectations with certain stocks likely running ahead of fundamentals in our view. **It's now important to exercise valuation discipline. We downgrade the highfliers, Han's Laser from Buy to Neutral** (as the PCB/3D printing equipment opportunity is already priced in) and **Jianghai from Buy to Sell** (as the **market is overly bullish on the aluminum electrolytic capacitors/supercap opportunity**) while we prefer stocks with solid growth at more reasonable valuation: **Inovance, Hongfa, Techtronic during results season.**

After the sharp YTD rally in AI Infra supply chain stocks, we turn more selective, particularly in names where the risk-reward profile has become less attractive:

- **Han's Laser - Downgrade to Neutral:** We downgrade Han's Laser to Neutral after a strong rally of +145% YTD, as the market has increasingly priced in the company's solid PCB equipment order visibility and consumer electronics/3D printing equipment upside from form-factor changes. While we remain constructive on its medium-term growth profile, further upside now depends on stronger evidence of execution in new AI-related product areas (liquid cooling and optical fiber), where Han's Laser remains a new entrant facing both overseas incumbents and domestic competitors.
- **Jianghai - Downgrade to Sell:** We downgrade Jianghai to Sell as the YTD rally of +144% has largely reflected its AI power-architecture opportunities across aluminum electrolytic capacitors, supercapacitors and MLPC. We remain positive on the structural demand opportunity, but believe a further rerating requires clearer evidence of customer certification, capacity ramps, market-share gains and earnings delivery. At the current valuation, the risk-reward has become less attractive, with risks related to AI server adoption and

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operation execution.

- **Hangke - Upgrade to Neutral:** We upgrade HangKe to Neutral from Sell after a 43% share-price correction since we added the stock to the Sell list on September 28, 2025, versus the CSI 300's +1.1% over the same period. We believe the Sell case is now less compelling as valuation has turned more balanced, with the stock trading at 21x 12-month forward P/E against 40%/34% earnings growth in 2026E/2027E and a 23% net income CAGR over 2026E-2030E. While we still see medium-term risks from a potentially front-loaded ESS-led capex cycle, uncertain SSB commercialization and competition risk, the share-price correction now better reflects these concerns.

Looking into upcoming 1-2 quarters, we prefer stocks with solid growth at reasonable valuation:

- **We prefer Inovance (on CL)** given its continued outperformance versus the industry, backed by a strong order intake of 40% yoy in 6M2026. Given an order lead time of ~1-2 months, we expect Inovance's 2Q IA revenue growth could trend at around 30%~40% yoy, with much narrowed order vs. revenue gap compared to 1Q, supported by capacity expansion undertaken in early 2Q for better conversion. However, considering the ongoing challenges at Inovance Automotive (the EV components subsidiary), we forecast blended firmwide revenue/net profit to grow at 21%/13% yoy respectively in 2Q26, primarily driven by IA strength. On margins, as copper prices roughly stabilized in 2Q26, combined with the company's pricing actions and very small exposure to memory, we expect the gross margin to slightly recover to 29.8% in 2Q26, +0.7pp qoq/+0.2pp yoy.

Key earnings upward revisions:

- We highlight **Hongfa**, forecasting +30%/+20% yoy in 2Q revenue/net profit growth driven by both demand strength and sustained share gains across end markets. In home appliances, weaker competitors are exiting under raw material cost pressures, enabling structural share gains. In industrial control relays, demand remains solid, supported by battery equipment and incremental OEM orders from Schneider. In addition, the transition to 800V architectures in EVs—where Hongfa has already gained traction in HVDC relays—is expected to repeat in AIDC power architectures, extending growth visibility beyond 2027-28E. The company has largely completed price its pass-through (vs. 80% by end-1Q26), demonstrating strong pricing power. We expect GPM to recover sequentially in the coming quarters though NPM is likely to be offset slightly by FX headwind. Order backlog remains elevated at ~2-3 months, providing solid visibility into 3Q26E.
- **Techtronic remains a compelling Buy, and we see scope for a more meaningful margin/earnings beat**, with the key incremental upside increasingly driven by margin expansion rather than revenue mix alone. Milwaukee's exposure to Technology, Energy and Manufacturing (TEM)—including data center-related applications (c.15% of Milwaukee demand, a key new disclosure alongside FY2025 results)—is not only a topline tailwind but also a meaningful profitability mix benefit that the market appears to under appreciate. Against this backdrop, we revise up Techtronic's Pro-demand (Milwaukee) margins, bringing weighted average GPM to 41.6% in 2026E. Post-adjustment, we now forecast EBIT margin

of 9.3%/9.7% in 2026E/2027E respectively (vs. 9.1%/9.3% previously and mgmt target of 10% EBIT margin by 2027E). We also raise our valuation multiple to 22x (from 19x previously) on 2027E P/E. All in, this lifts our 2026-30E EPS estimates by 3-4%. Our new TP is HK\$152.4, +19% from HK\$128.20 previously.

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Revise TPs by -17%~+40% to reflect updated 2Q results expectations and valuation recalibration

Our sector view of Industrial Tech remains broadly unchanged, and EPS revisions across the board mainly reflect weaker NEV/renewables exposure and selected commodity headwinds, while companies with stronger overseas exposure or AI-related demand remain comparatively resilient.

In 2Q26, NEV industry shipments saw a mid-single-digit yoy decline, with China Automobile Dealers Association (CADA) data showing -4% yoy in April-May and -10% yoy during June 1-21. Management teams in the recent GS Asia Mobility Tech Company Call Series also indicated that domestic passenger vehicle demand is running below their initial expectations for the year. Global solar module demand also weakened sharply, declining 58% yoy in April and 79% yoy in May, and China solar module new installations were down -91% yoy in May (vs. -79% in April). However, looking ahead into 2H26, auto industry feedback suggests conditions should gradually improve into 2H26, with domestic demand stabilizing around September and potentially turning positive by year-end. Our China Autos team continues to expect broadly stable industry production and wholesale volumes in 2026E, supported by strong export growth and rising NEV penetration despite weaker domestic retail demand. We therefore lower 2026E earnings forecasts for companies with higher China EV or renewables exposure, including Shuanghuan, Sungrow, and Nari Tech.

Raw-material prices remained elevated in 2Q26, although sequential trends were broadly stable, with iron/copper/aluminum/silver at +1%/+4%/+12%/-12% qoq, but still elevated yoy at +8%/+40%/+46%/+118%. Lithium carbonate/hydroxide prices continued to rise, up +13%/+9% qoq and +115%/+114% yoy in 2Q26, respectively. We make modest earnings revisions for companies with higher exposure to these commodities, for example Jianghai. For film-capacitor inputs such as BOPP film and oil, cost pressure likely peaked in 2Q, with BOPP film/Brent oil up +33%/+24% qoq and +39%/+45% yoy respectively, and should ease into the following quarters, where we make slight adjustments to Faratronic's margin trend.

Finally, companies with stronger overseas exposure, AI/AIDC-related demand, humanoid robot opportunities, or structural share-gain drivers remain comparatively resilient or see upward revisions, including Hongfa, Techtronic, LeaderDrive, and Luster. Hongfa benefits from strong demand, share gains in home appliances and industrial control relays, and improving price pass-through. Techtronic benefits from Milwaukee's higher-margin Pro-demand exposure, particularly Technology, Energy and Manufacturing applications, including data center-related demand. LeaderDrive benefits from rising humanoid robot content value as it expands from harmonic reducers into integrated modules. Luster benefits from both a sizable non-operating gain related to its Zhipu equity stake and improving core profitability from new businesses such as ESS/new energy, AI servers, and optical modules. Faratronic's near-term EPS is lowered on weaker EV demand and higher BOPP input costs, but we raise longer-term estimates for AIDC-related film capacitor opportunities, particularly SST applications.

Detailed earnings revisions by company below:

Hongfa (600885.SS, Buy): We revise up 2026E-30E EPS forecasts by 3~6%, mainly to reflect stronger demand momentum, sustained share gains across end markets, and improving GPM visibility following price pass-through. For 2Q26E, we model +16%/+16% revenue/net profit growth yoy, driven by demand strength and share gains in home appliances, industrial control relays, and HVDC relays. In home appliances, weaker competitors are exiting under raw material cost pressures, supporting structural share gains; in industrial control relays, demand remains solid, supported by battery equipment and incremental OEM orders from Schneider. We also see longer-term growth visibility from the transition to 800V architectures in EVs and its potential replication in AIDC power architectures. The company has largely completed price pass-through versus 80% by end-1Q26, supporting sequential GPM recovery, though NPM may be slightly offset by FX headwinds. Order backlog remains elevated at ~2-3 months, providing solid visibility into 3Q26E. Accordingly, our TP moves to Rmb45.0 (vs. Rmb37.2 previously), based on 2028E P/E of 24x (vs. 21x previously) discounted back to 2027E. Maintain Buy. Downside risks: (1) Weaker-than-expected smart meter revenue recognition; (2) Weaker-than-expected revenue from front-loaded solar inverter revenue; (3) Further increase in copper and silver prices that negatively impacts GPM.

Techtronic (0669.HK, Buy): We revise up 2026E-30E EPS forecasts by 3%~4%, mainly to reflect stronger margin upside from Milwaukee's higher-margin Pro-demand exposure, particularly Technology, Energy and Manufacturing (TEM) applications including data center-related demand. For 2026E, we raise our weighted average GPM assumption to 41.6%, supported by improved Milwaukee mix, productivity gains and operating leverage, and now model EBIT margin of 9.3%/9.7% in 2026E/2027E, respectively, versus 9.1%/9.3% previously and compared with management's 10% EBIT margin target by 2027E. We believe the market still under appreciates the profitability benefit from Milwaukee's TEM exposure, which management disclosed as representing around 15% of Milwaukee demand alongside FY2025 results. Accordingly, we raise our valuation multiple to 22x (from 19x previously) on 2027E P/E. Our new TP moves to HK\$152.4 (vs. HK\$128.20 previously). Maintain Buy. Downside risks: (1) Slowdown of US businesses/residential FAI, (2) Slower product innovation; (3) Changes in international trade/tax policy; and (4) US-China tariff impacts.

LeaderDrive (688017.SS, Neutral): We revise up 2026E-30E net income forecasts by 4%~22% as LeaderDrive has been expanding its product offerings in the humanoid robot industry notably offering integrated modules (with reducers, motors, encoders, and vision/force/position sensors) which has meaningfully higher content value as compared to merely selling harmonic reduction gears. All in, we model revenue from humanoid robot end-market to reach Rmb1.7bn in 2030E (accounted for 58% of total sales vs. <20% in 2025) with 76% CAGR in 2025-30E. For 2Q26E, we model the company to achieve +48%/+54% yoy sales/net income growth supported by robust domestic humanoid related demand. Accordingly, our TP moves to Rmb186.7 (vs. Rmb138.0 previously), based on 50x 2030E P/E (vs. 45x 2030E P/E previously) discounted back to 2027E with 11.5% cost of equity. Our revised target multiple of 50x mainly considers stronger long-term growth profile of 45% 2026E-30E net income CAGR (vs. 39% previously) driven by sustained demand from the humanoid robot

applications with content value gains as LeaderDrive offers more integrated modules to humanoid customers apart from single components, as well as the long-term EPS growth vs. TP-implied PE correlation within our China Industrial Tech coverage. Maintain Neutral. Upside risks: (1) faster-than-expected volume production and/or technology advancement of humanoid robots; (2) faster-than-expected penetration into key robot customers (especially foreign brands). Downside risks: (1) worse-than-expected domestic industrial/collaborative robot demand; (2) more competition pressure from overseas and local brands.

Luster (688400.SS, Neutral): We revise up our 2026E EPS forecast by 80% and 2027E-30E EPS by 9%~12%. The 2026E revision mainly reflects the sizable non-operating gain due to fair value change on Luster's equity stake in Zhipu (share price 21x by Jun 30, 2026 since listed on Jan 8, 2026). Per Luster's 1H26 results pre-announcement, company's 2Q26 net profit was of c.Rmb462mn, +571% yoy, while non-recurring net profit at c.Rmb84mn, +104% yoy. Apart from company's equity investment valuation uplift, the improving net profit showcased Luster's rising revenue/net profit contribution from new businesses (ESS/new energy, AI servers, and optical modules) with higher margins, which drove yoy GPM improvement across 1H26, alongside notable scale effects and operating efficiency gains supporting OPM/NPM expansion. Therefore, we revise 2027E-30E EPS by 9%~12% to reflect the long-term trend in product mix shift and margins improvement. Accordingly, our TP moves to Rmb40.1 (vs. Rmb29.5 previously), now comprising (1) Rmb32.3 per share for the main business valuation, still based on 30x 2030E P/E discounted back to 2027E with 11.5% CoE, and (2) Rmb7.8 per share for Luster's 0.42% equity stake in Zhipu (2513.HK), based on GS China Internet team's DCF valuation discounted to 2027E. We maintain Neutral with 16% downside. Upside/downside risks: (1) Faster/slower-than-expected penetration and recovery in new energy sector; (2) Faster/slower-than-expected development on vision software; (3) Better/worse-than-expected motion capture business development; (4) Easing/Intensifying pricing competition in the machine vision industry.

Lead Intelligent A/H (300450.SZ/0470.HK, Buy/Buy): We revise down 2028E-30E EPS forecasts by 0%~3%, mainly to reflect GS China Battery Team's view on the capacity expansion peaking in 2028E and a moderation in the following 2029E-30E ([report link](#)). For the 2026E-27E, we already factored in this period of ESS demand acceleration as Lead Intelligent's major growth driver, thus our EPS forecasts remain unchanged. Our TP for Lead Intelligent A/H moves to Rmb50.8/HK\$46.3 (vs. Rmb61.0/HK\$55.6 previously), based on 2027E P/E of 25x/20x (vs. 30x/24x 2027E P/E previously). Our revised target multiples of 25x/20x for Lead A/H mainly factors in 1) the moderation of long-term growth profile of 33% 2026E-30E net income CAGR (vs. 34% previously) driven by a potentially negative swing from 2028E onward following the front-loaded ESS demand; 2) the long-term EPS growth vs. TP-implied PE correlation within our China Industrial Tech coverage. Maintain Buy on both A/H. Downside risks: (1) A more severe pullback in EV development in China and globally; (2) Weaker-than-expected ESS capacity expansion progress; (3) Slower-than-expected expansion in new business segments (solar PV, consumer electronics, etc.).

Faratronic (600563.SS, Buy): We revise down 2026E-28E EPS forecasts by 1~8%, mainly reflecting weaker EV-related

demand and higher film-capacitor input costs from elevated BOPP film input prices, partly offset by an upward revision to our 2029E-30E EPS forecasts of c.3% on higher SST-related contributions. We now explicitly separate the AIDC film capacitor opportunity into SST and ex-SST applications, where SST architectures carry higher BOM intensity and film-capacitor content. Incorporating these revised assumptions, we forecast AIDC-related revenue to begin contributing meaningfully from 2026E, rising from c.Rmb40mn in 2026E to Rmb765mn by 2030E, with Faratronic's market share increasing from 15% to 40% over the same period. We also raise our valuation multiple to 22x (from 20x previously) on 2027E P/E. Accordingly, our TP moves to Rmb150.2 (vs. Rmb129.9 previously). Maintain Buy. Downside risks: (1) Significant pullback of key downstream segments such as EV/solar power/wind power development in China and globally; (2) Significant development of aluminum electrolytic and MLCC technology that could potentially disrupt film capacitor adoption; (3) Lower-than-expected market share in NEV space due to competition.

Shuanghuan (002472.SZ, Buy): We revise our 2026E-30E EPS forecasts down by c.3% 2026-2028E, mainly reflecting slower-than-expected China EV demand observed to-date in 1H26. While domestic EV industry growth has moderated versus earlier expectations, we continue to expect medium-term demand for automotive gears and reducers to remain supported by rising coaxial gearbox penetration and overseas customer ramp up. Our 12-month TP moves to Rmb46.8 (vs. Rmb48.2 previously), still based on 25x 2027E P/E unchanged. Maintain Buy.

Haitian International (1882.HK, Buy): We tweak our 2026-30E net income forecasts down slightly by ~1% to reflect softer overseas order momentum in 1H26, reflecting a wait-and-see stance among overseas customers amid geopolitical tensions, tariff uncertainty, and energy-price volatility, partly offset by resilient domestic demand and improving June order trends. We also lower our valuation multiple to 11x (from 12x previously) on 2026 P/E. Accordingly, our TP moves to Rmb25.1 (vs. Rmb27.8 previously). Maintain Buy. Downside risks: (1) Weaker-than-expected domestic demand and order growth; (2) Weaker-than-expected growth momentum in overseas markets such as India/Southeast Asia/Mexico; (3) Weaker-than-expected margin trend.

Nari Tech (600406.SS, Buy): We revise down our 2026E-30E EPS forecasts by c.3%, mainly reflecting lower-margin non-grid businesses growing faster than previously expected, including the power generation and industrial internet segments, as well as a more conservative outlook for ESS, wind and solar-related demand. We now forecast Power Grid Digitalization revenue growth of 2%/3% in 2026E/27E, before re-accelerating to 8-9% in 2028E-30E, vs. our previous expectation of low-double-digit growth throughout the forecast period. This revision also reflects strong but gradually moderating grid investment growth in 2026 YTD. Accordingly, our TP moves to Rmb30.6 (vs. Rmb31.5 previously), still based on our existing valuation framework. Maintain Buy.

Sungrow (300274.SZ, Neutral): We review down 2026E-30E net income forecasts by 5% on average, mainly to reflect the lithium price cost inflation in 1H26 affecting the energy storage margins especially for the long-cycle projects in the overseas

markets and the solar new installations demand weakness in the Chinese market impacting Sungrow's domestic solar inverter sales as well as the solar EPC (engineering, procurement, and construction) business. For 2Q26E, we model sales/net income at Rmb23.3bn/2.8bn (-5%/-29% yoy). Our TP moves to Rmb128.9 (vs. Rmb135.0 previously), still based on 22x 2027E P/E. Upside/downside risks: (1) Prolonged/moderating material cost inflation; (2) Faster/slower production footprint diversification; (3) Intensifying/easing global ESS industry competition; (4) Faster/slower commercialization progress on AIDC power and AIDC related ESS products. Maintain Neutral.

Best Precision (300580.SZ, Neutral): We revise down 2026E-30E net income forecasts by 10%~13%, mainly to reflect the domestic auto industry demand weakness. For 2Q26E, we model +8%/+1% sales/net income growth on a yoy basis (vs. +10%/+5% in 1Q26), with the sales growth mainly supported by resilient export demand though dragged by subdued domestic ICE as well as EV shipment growth and 3pp yoy GPM decline mainly due to rising raw material costs (e.g. aluminum and copper) which takes around 3~6 months for the company to pass on the cost pressure to customers. Accordingly, our TP moves to Rmb23.0 (vs. Rmb26.4 previously), still based on 32x 2030E P/E discounted back to 2027E with 9.5% cost of equity. Upside risks: (1) faster transmission components development; (2) faster EV parts capacity ramp-up. Downside risks: (1) slower turbocharger penetration growth; (2) lower-than-expected margins due to competition or pricing pressure. Maintain Neutral.

Exhibit 1: We revise TPs by -17%~+40% to reflect updated 2Q results expectations and valuation recalibration

TP/EPS changes across the China Industrial Tech coverage

Ticker	Company name	Rating	Target Price				EPS chg (%)					EPS old					EPS new					26E-30E CAGR
			New	Old	% chg	TP +/-	2026E	2027E	2028E	2029E	2030E	2026E	2027E	2028E	2029E	2030E	2026E	2027E	2028E	2029E	2030E	
002518.SZ	Kstar	B	67.00	67.00	-	98%	-	-	-	-	-	1.55	2.22	2.86	3.62	4.55	1.55	2.22	2.86	3.62	4.55	31%
603308.SS	Yingliu	B	82.40	82.40	-	77%	-	-	-	-	-	0.92	1.47	2.24	2.86	3.66	0.92	1.47	2.24	2.86	3.66	41%
0470.HK	Lead Intelligent (H)	B	46.30	55.60	-17%	57%	-	-	0%	-2%	-3%	1.34	2.03	2.81	3.49	4.31	1.34	2.03	2.82	3.42	4.18	33%
2050.HK	Sanhua (H)	B	41.20	41.20	-	57%	-	-	-	-	-	1.08	1.24	1.49	1.78	2.09	1.08	1.24	1.49	1.78	2.09	18%
300450.SZ	Lead Intelligent (A)	B	50.80	61.00	-17%	55%	-	-	0%	-2%	-3%	1.34	2.03	2.81	3.49	4.31	1.34	2.03	2.82	3.42	4.18	33%
300124.SZ	Inovance	B*	92.90	92.90	-	51%	-	-	-	-	-	2.29	2.65	3.10	3.61	4.23	2.29	2.65	3.10	3.61	4.23	17%
301029.SZ	Yiheda	B	36.80	36.80	-	43%	-	-	-	-	-	0.98	1.15	1.32	1.53	1.79	0.98	1.15	1.32	1.53	1.79	16%
002837.SZ	Envicool	B	84.62	84.62	-	41%	-	-	-	-	-	0.78	1.51	2.22	3.05	4.09	0.78	1.51	2.22	3.05	4.09	51%
600885.SS	Hongfa	B	45.00	37.20	21%	37%	3%	6%	6%	5%	4%	1.37	1.62	1.96	2.27	2.54	1.41	1.72	2.07	2.38	2.64	17%
002270.SZ	Huaming	B	23.90	23.90	-	33%	-	-	-	-	-	0.87	1.02	1.19	1.37	1.62	0.87	1.02	1.19	1.37	1.62	17%
002028.SZ	Sieyuan	B	203.70	203.70	-	31%	-	-	-	-	-	5.10	7.10	8.92	10.99	13.22	5.10	7.10	8.92	10.99	13.22	27%
300012.SZ	Centre Testing	B	17.70	17.70	-	30%	-	-	-	-	-	0.71	0.84	0.97	1.11	1.28	0.71	0.84	0.97	1.11	1.28	16%
1766.HK	CRRC (H)	B	6.30	6.30	-	29%	-	-	-	-	-	0.52	0.57	0.60	0.64	0.68	0.52	0.57	0.60	0.64	0.68	7%
600406.SS	Nari Tech	B	30.60	31.50	-3%	29%	-3%	-3%	-3%	-3%	-3%	1.14	1.26	1.39	1.55	1.73	1.10	1.22	1.35	1.50	1.68	11%
002472.SZ	Shuanghuan	B	46.80	48.20	-3%	24%	-3%	-3%	-3%	-2%	-4%	1.70	1.93	2.19	2.55	3.03	1.65	1.87	2.13	2.49	2.92	15%
300274.SZ	Sungrow	N	128.90	135.00	-5%	24%	-5%	-5%	-5%	-5%	-5%	5.54	6.14	6.27	7.30	9.04	5.27	5.86	5.95	6.95	8.58	13%
1882.HK	Haitian International	B	25.10	27.80	-10%	23%	-1%	-1%	-1%	-1%	-1%	2.12	2.23	2.52	2.82	3.18	2.09	2.20	2.48	2.79	3.14	11%
0669.HK	Techtronic	B	152.40	128.20	19%	17%	3%	3%	4%	3%	3%	0.76	0.87	0.98	1.12	1.26	0.78	0.89	1.02	1.15	1.30	14%
600563.SS	Faratron	B	150.20	129.90	16%	15%	-8%	-2%	-1%	-	-	5.79	6.50	7.61	9.24	10.92	5.33	6.35	7.54	9.24	10.92	20%
300580.SZ	BEST	N	23.00	26.40	-13%	15%	-10%	-10%	-11%	-13%	-13%	0.68	0.77	0.86	0.97	1.08	0.61	0.69	0.77	0.85	0.94	12%
002335.SZ	Kehua	N	35.00	35.00	-	14%	-	-	-	-	-	0.96	1.17	1.37	1.63	1.93	0.96	1.17	1.37	1.63	1.93	19%
002008.SZ	Han's Laser	▼	113.00	110.00	3%	12%	10%	3%	2%	2%	2%	2.66	3.67	4.19	4.80	5.50	2.93	3.77	4.27	4.90	5.63	18%
002179.SZ	AVIC Jonhon	N	37.50	37.50	-	10%	-	-	-	-	-	1.40	1.70	2.04	2.45	2.96	1.40	1.70	2.04	2.45	2.96	21%
3898.HK	Times Electric (H)	N	37.10	37.10	-	7%	-	-	-	-	-	3.17	3.55	3.89	4.16	4.49	3.17	3.55	3.89	4.16	4.49	9%
688188.SS	Bochu	N	108.00	108.00	-	7%	-	-	-	-	-	3.32	4.00	4.85	5.94	7.27	3.32	4.00	4.85	5.94	7.27	22%
688006.SS	HangKe	▲	22.80	22.80	-	7%	-	-	-	-	-	0.85	1.14	1.49	1.77	1.95	0.85	1.14	1.49	1.77	1.95	23%
002050.SZ	Sanhua (A)	N	39.80	39.80	-	4%	-	-	-	-	-	1.08	1.24	1.49	1.78	2.09	1.08	1.24	1.49	1.78	2.09	18%
688187.SS	Times Electric (A)	N	50.60	50.60	-	3%	-	-	-	-	-	3.17	3.55	3.89	4.16	4.49	3.17	3.55	3.89	4.16	4.49	9%
601766.SS	CRRC (A)	N	5.70	5.70	-	-5%	-	-	-	-	-	0.52	0.57	0.60	0.64	0.68	0.52	0.57	0.60	0.64	0.68	7%
688400.SS	Luster	N	40.10	29.50	36%	-15%	80%	12%	10%	10%	9%	1.05	0.81	0.98	1.16	1.37	1.89	0.90	1.08	1.27	1.49	-6%
688686.SS	OPT Machine Vision	N	100.00	100.00	-	-17%	-	-	-	-	-	2.04	2.86	3.74	4.76	6.02	2.04	2.86	3.74	4.76	6.02	31%
002851.SZ	Megmeet	N	112.00	112.00	-	-17%	-	-	-	-	-	1.10	2.52	3.89	5.48	7.19	1.10	2.52	3.89	5.48	7.19	60%
603728.SS	Moons' Electric	S	39.60	39.60	-	-21%	-	-	-	-	-	0.39	0.62	0.80	1.08	1.41	0.39	0.62	0.80	1.08	1.41	38%
600845.SS	Baosight	S	15.00	15.00	-	-21%	-	-	-	-	-	0.51	0.60	0.69	0.77	0.85	0.51	0.60	0.69	0.77	0.85	14%
002484.SZ	Jianghai	▼	54.70	39.20	40%	-25%	1%	1%	16%	29%	43%	1.11	1.44	1.73	2.01	2.30	1.12	1.45	2.02	2.59	3.30	31%
2715.HK	Estun (H)	N	11.80	11.80	-	-37%	-	-	-	-	-	0.27	0.31	0.37	0.48	0.59	0.27	0.31	0.37	0.48	0.59	21%
688017.SS	LeaderDrive	N	186.70	138.00	35%	-43%	4%	10%	12%	16%	22%	1.14	1.67	2.32	3.15	4.25	1.18	1.84	2.60	3.65	5.18	45%
688777.SS	Supcon	S	44.50	44.50	-	-53%	-	-	-	-	-	0.87	1.30	1.60	1.86	2.14	0.87	1.30	1.60	1.86	2.14	25%
002747.SZ	Estun (A)	S	14.90	14.90	-	-55%	-	-	-	-	-	0.27	0.31	0.37	0.48	0.59	0.27	0.31	0.37	0.48	0.59	21%
300747.SZ	Raycus	S	14.80	14.80	-	-57%	-	-	-	-	-	0.45	0.59	0.76	0.92	1.11	0.45	0.59	0.76	0.92	1.11	25%

Closing price as of Jul 21st, 2026.

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: We downgrade Jianghai/Han's Laser from Buy/Buy to Sell/Neutral, upgrade Hangke from Sell to Neutral and change P/E multiples across several names in the coverage

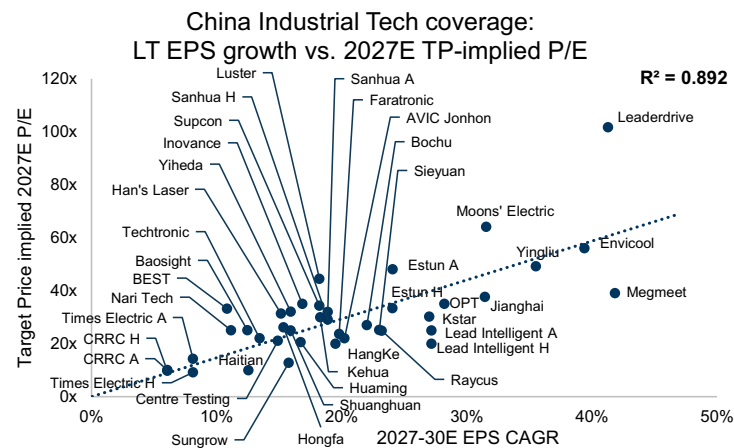
Old vs. new target P/E multiples, TP and rating

				Prior				New				
Ticker	Company Name	Pricing Currency (PCY)	2026E-30E EPS CAGR	Target P/E multiple	TP (PCY)	Latest closing px	Rating	Target P/E multiple	TP (PCY)	TP chg (%)	Up/down side	Rating
FA/robot												
300124.SZ	Inovance	CNY	17%	35x	92.90	61.53	Buy*	35x	92.90	0%	+51%	Buy
301029.SZ	Yiheda	CNY	16%	32x	36.80	25.76	Buy	32x	36.80	0%	+43%	Buy
002472.SZ	Shuanghuan	CNY	15%	25x	46.80	37.67	Buy	25x	46.80	-3%	+24%	Buy
002050.SZ	Sanhua A	CNY	18%	25x	39.80	38.10	Neutral	25x	39.80	0%	+4%	Neutral
2050.HK	Sanhua H	HKD	18%	25x	41.20	26.22	Buy	25x	41.20	0%	+57%	Buy
688017.SS	Leaderdrive	CNY	45%	50x	186.70	326.66	Neutral	50x	186.70	35%	-43%	Neutral
300580.SZ	BEST	CNY	12%	32x	23.00	20.01	Neutral	32x	23.00	-13%	+15%	Neutral
603728.SS	Moons' Electric	CNY	38%	37x	39.60	50.00	Sell	37x	39.60	0%	-21%	Sell
002747.SZ	Estun A	CNY	21%	35x	14.90	33.43	Sell	35x	14.90	0%	-55%	Sell
2715.HK	Estun H	CNY	21%	25x	11.80	18.73	Neutral	25x	11.80	0%	-37%	Neutral
Laser												
688188.SS	Bochu	CNY	22%	27x	108.00	100.63	Neutral	27x	108.00	0%	+7%	Neutral
002008.SZ	Han's Laser	CNY	22%	30x	113.00	100.89	Neutral	30x	113.00	3%	+12%	Neutral
300747.SZ	Raycus	CNY	25%	25x	14.80	34.37	Sell	25x	14.80	0%	-57%	Sell
Machine vision												
688686.SS	OPT Machine Vision	CNY	31%	35x	100.00	120.34	Neutral	35x	100.00	0%	-17%	Neutral
688400.SS	Luster	CNY	-6%	30x	40.10	47.02	Neutral	30x	40.10	36%	-15%	Neutral
Production software												
688777.SS	Supcon Tech	CNY	25%	28x	44.50	94.58	Sell	28x	44.50	0%	-53%	Sell
600845.SS	Baosight	CNY	14%	25x	15.00	19.02	Sell	25x	15.00	0%	-21%	Sell
Battery equipment												
688006.SS	HangKe	CNY	23%	20x	22.80	21.27	Neutral	20x	22.80	0%	+7%	Neutral
300450.SZ	Lead Intelligent A	CNY	33%	25x	50.80	32.76	Buy	25x	50.80	-17%	+55%	Buy
0470.HK	Lead Intelligent H	CNY	33%	20x	46.30	29.44	Buy	20x	46.30	-17%	+57%	Buy
PIMM												
1882.HK	Haitian Intl.	HKD	11%	11x	25.10	20.46	Buy	11x	25.10	-10%	+23%	Buy
Electrification												
600406.SS	Nari Tech	CNY	11%	25x	30.60	23.80	Buy	25x	30.60	-3%	+29%	Buy
603308.SS	Yingliu	CNY	41%	35x	82.40	46.61	Buy	30x	82.40	0%	+77%	Buy
002028.SZ	Sieyuan	CNY	27%	25x	203.70	155.89	Buy	25x	203.70	0%	+31%	Buy
002270.SZ	Huaming	CNY	17%	22x	23.90	17.93	Buy	22x	23.90	0%	+33%	Buy
002518.SZ	Kstar	CNY	31%	26x	67.00	33.78	Buy	26x	67.00	0%	+98%	Buy
002335.SZ	Kehua	CNY	19%	30x	35.00	30.62	Neutral	30x	35.00	0%	+14%	Neutral
002851.SZ	Megmeet	CNY	60%	32x	112.00	135.22	Neutral	32x	112.00	0%	-17%	Neutral
600885.SS	Hongfa	CNY	17%	24x	45.00	32.80	Buy	24x	45.00	21%	+37%	Buy
002484.SZ	Jianghai	CNY	31%	30x	54.70	72.55	Sell	30x	54.70	40%	-25%	Sell
002837.SZ	Envicool	CNY	51%	42x	84.62	59.99	Buy	42x	84.62	0%	+41%	Buy
600563.SS	Faratronic	CNY	20%	22x	150.20	130.48	Buy	22x	150.20	16%	+15%	Buy
002179.SZ	AVIC Jonhon	CNY	21%	22x	37.50	34.07	Neutral	22x	37.50	0%	+10%	Neutral
300274.SZ	Sungrow	CNY	17%	22x	128.90	104.08	Neutral	22x	128.90	-5%	+24%	Neutral
Business service												
300012.SZ	Centre Testing	CNY	16%	21x	17.70	13.64	Buy	21x	17.70	0%	+30%	Buy
Power tools												
0669.HK	Techtronic	HKD	14%	22x	152.40	129.90	Buy	22x	152.40	19%	+17%	Buy
Rolling stock												
3898.HK	Times Electric H	HKD	9%	9x	37.10	34.52	Neutral	9x	37.10	0%	+7%	Neutral
688187.SS	Times Electric A	CNY	9%	13x	50.60	49.29	Neutral	13x	50.60	0%	+3%	Neutral
601766.SS	CRRC A	CNY	7%	11x	5.70	5.99	Neutral	11x	5.70	0%	-5%	Neutral
1766.HK	CRRC H	HKD	7%	11x	6.30	4.88	Buy	11x	6.30	0%	+29%	Buy

Closing price as of Jul 21st, 2026. * Denotes that the stock is on the Conviction List (CL).

Source: Company data, Goldman Sachs Global Investment Research

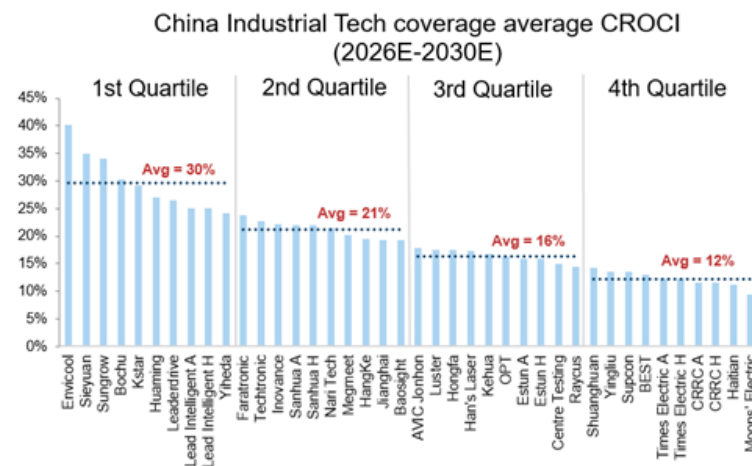
Exhibit 3: We keep coverage 2027E TP-implied P/E is in line with the regression against 2027E-30E EPS CAGR



Company data, Goldman Sachs Global Investment Research

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: Average CROCI (2026-30E) across the China Industrial Tech coverage by quartiles



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Revenue and revenue yoy (%) forecasts from 2Q26E onwards

		Revenue (Reporting currency)				Revenue yoy (%)			
Company	Ticker	2026 Q1A	2026 Q2E	2026 Q3E	2026 Q4E	2026 Q1A	2026 Q2E	2026 Q3E	2026 Q4E
Robot & Automation									
FA/Robot									
Shenzhen Inovance	300124.SZ	10,143	13,953	13,942	17,134	13%	21%	25%	27%
Sanhua Intelligent Control	002050.SZ/2050.HK	7,774	9,113	8,474	7,649	1%	6%	9%	10%
Yiheda Automation	301029.SZ	746	1,051	920	913	20%	25%	25%	22%
Shuanghuan Driveline	002472.SZ	2,095	2,294	2,573	2,996	1%	6%	15%	13%
Leaderdrive	688017.SS	140	227	248	308	43%	48%	60%	88%
BEST	300580.SZ	386	396	445	431	10%	8%	10%	12%
Estun Automation	002747.SZ	1,217	1,565	1,506	1,471	-2%	20%	20%	36%
Moons' Electric	603728.SS	700	935	911	862	18%	30%	25%	20%
Laser									
Han's Laser	002008.SZ	5,135	7,422	7,905	8,180	74%	59%	55%	35%
Bochu	688188.SS	548	741	645	703	11%	22%	25%	22%
Raycus	300747.SZ	859	1,053	934	1,012	20%	11%	11%	5%
Machine vision									
OPT Machine Vision	688686.SS	357	560	429	327	34%	35%	30%	27%
Luster	688400.SS	597	1,055	949	1,036	-3%	40%	25%	32%
Production software									
Supcon Tech	688777.SS	1,506	2,245	2,006	2,977	-6%	1%	10%	23%
Baosight	600845.SS	2,644	2,394	2,571	4,310	4%	10%	10%	10%
Battery equipment									
Lead Intelligent	300450.SZ	3,691	4,566	4,977	5,298	19%	30%	30%	32%
HangKe Technology	688006.SS	845	1,548	976	1,070	24%	20%	30%	n.m.
PIMM			2026 H1E		2026 H2E		2026 H1E		2026 H2E
Haitian Intl.	1882.HK		9,199		9,211		2%		6%
Power equipment & electricals									
Power generation & grid equipment									
Nari Tech	600406.SS	9,564	17,036	15,910	32,646	8%	11%	11%	18%
Yingliu	603308.SS	889	916	981	1,033	34%	27%	33%	30%
Sieyuan	002028.SZ	4,569	6,235	7,196	10,006	42%	18%	35%	30%
Huaming	002270.SZ	530	625	700	760	4%	2%	1%	24%
Data center electricals									
Kstar	002518.SZ	1,240	1,561	1,952	2,384	31%	28%	35%	44%
Kehua	002335.SZ	1,430	2,793	2,316	2,926	18%	11%	17%	19%
Megmeet	002851.SZ	2,788	3,300	2,965	3,707	20%	40%	40%	42%
Electrification									
Hongfa Technology	600885.SS	5,108	5,674	5,617	5,249	28%	30%	23%	23%
Envicool	002837.SZ	1,175	2,051	2,760	3,718	26%	25%	90%	82%
Sungrow	300274.SZ	15,561	23,272	22,869	24,621	-18%	-5%	0%	8%
Faratronc	600563.SS	1,284	1,335	1,517	1,540	7%	3%	5%	11%
Jianghai	002484.SZ	1,384	1,874	1,922	2,122	20%	22%	35%	55%
AVIC Jonhon	002179.SZ	4,872	6,852	6,312	5,533	1%	8%	36%	0%
Business service									
Centre Testing	300012.SZ	1,495	1,950	2,028	2,279	16%	17%	16%	19%
Power tools			2026 H1E		2026 H2E		2026 H1E		2026 H2E
Techtronic	0669.HK		8,225		8,289		5%		12%
Rolling stock									
Times Electric	3898.HK/688187.SS	5,102	8,522	7,278	10,702	12%	11%	10%	8%
CRRC Corp.	1766.HK/601766.SS	53,819	74,641	71,800	109,210	11%	5%	12%	22%
Median						16%	18%	25%	22%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: We update 2026E interim forecasts for our coverage

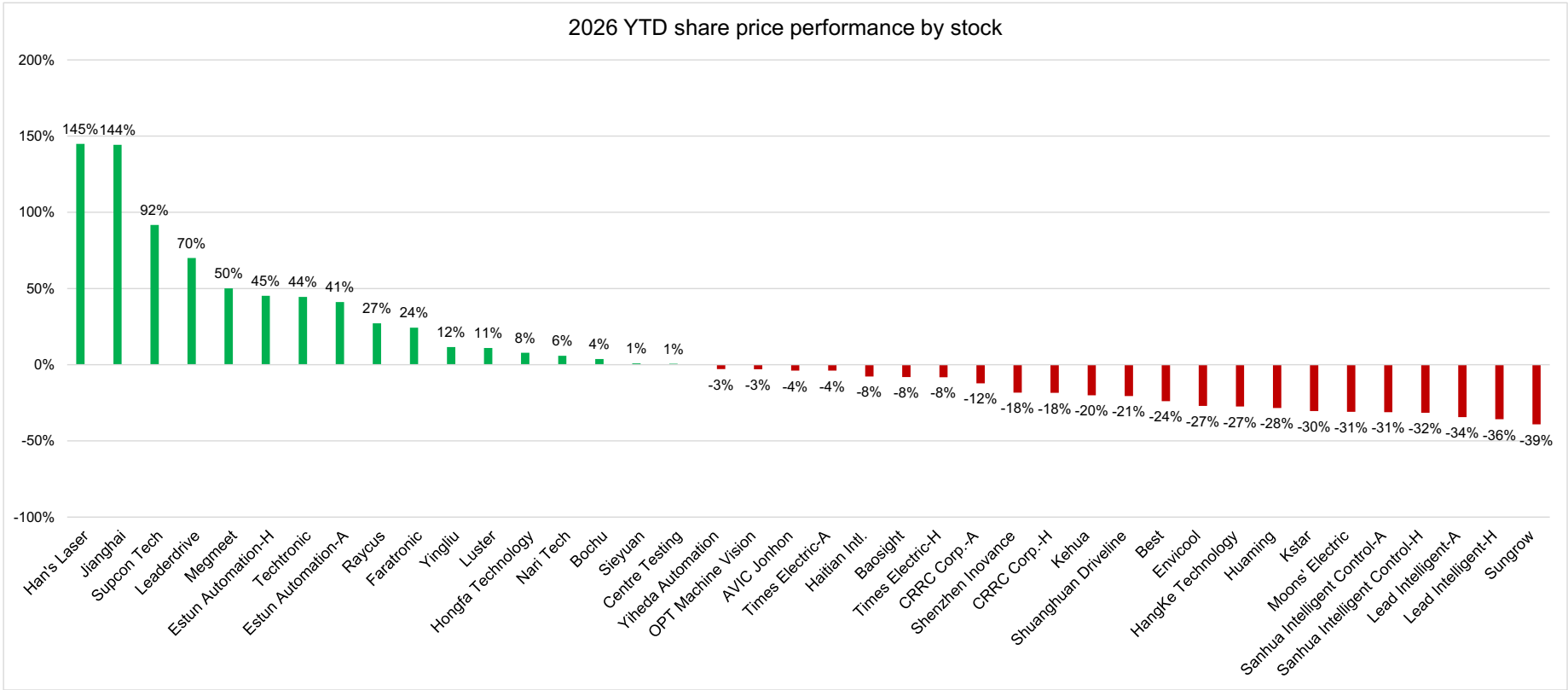
EPS and EPS yoy (%) forecasts from 2Q26E onwards

		EPS (Reporting currency)				EPS yoy (%)			
Company	Ticker	2026 Q1A	2026 Q2E	2026 Q3E	2026 Q4E	2026 Q1A	2026 Q2E	2026 Q3E	2026 Q4E
Robot & Automation									
FA/Robot									
Shenzhen Inovance	300124.SZ	0.37	0.69	0.59	0.64	-24%	12%	24%	n.m.
Sanhua Intelligent Control	002050.SZ/2050.HK	0.22	0.31	0.30	0.24	-9%	7%	13%	24%
Yiheda Automation	301029.SZ	0.20	0.31	0.26	0.20	6%	25%	24%	32%
Shuanghuan Driveline	002472.SZ	0.33	0.37	0.42	0.53	3%	5%	10%	23%
Leaderdrive	688017.SS	0.18	0.28	0.33	0.39	61%	54%	52%	n.m.
BEST	300580.SZ	0.15	0.16	0.18	0.12	5%	0%	4%	45%
Estun Automation	002747.SZ	0.10	0.10	0.09	0.08	n.m.	n.m.	n.m.	n.m.
Moons' Electric	603728.SS	0.03	0.14	0.12	0.10	92%	n.m.	n.m.	n.m.
Laser									
Han's Laser	002008.SZ	0.34	0.91	0.94	0.73	n.m.	n.m.	n.m.	n.m.
Bochu	688188.SS	0.78	1.14	0.78	0.62	23%	19%	20%	20%
Raycus	300747.SZ	0.07	0.13	0.11	0.13	n.m.	29%	26%	95%
Machine vision									
OPT Machine Vision	688686.SS	0.52	0.79	0.58	0.15	10%	10%	94%	n.m.
Luster	688400.SS	0.42	0.71	0.20	0.15	n.m.	n.m.	n.m.	n.m.
Production software									
Supcon Tech	688777.SS	0.09	0.26	0.25	0.27	-38%	-11%	n.m.	n.m.
Baosight	600845.SS	0.13	0.10	0.14	0.13	-14%	12%	7%	76%
Battery equipment									
Lead Intelligent	300450.SZ	0.24	0.32	0.41	0.37	4%	35%	42%	52%
HangKe Technology	688006.SS	0.21	0.37	0.20	0.06	11%	31%	26%	n.m.
PIMM						2026 H1E		2026 H2E	
Haitian Intl.	1882.HK	1.06		1.04		-1%		4%	
Power equipment & electricals									
Power generation & grid equipment									
Nari Tech	600406.SS	0.09	0.31	0.26	0.45	6%	9%	9%	5%
Yingliu	603308.SS	0.18	0.17	0.21	0.36	31%	23%	34%	n.m.
Sieyuan	002028.SZ	0.70	1.20	1.41	1.79	22%	10%	23%	46%
Huaming	002270.SZ	0.72	0.84	0.96	0.93	-5%	-3%	2%	65%
Data center electricals									
Kstar	002518.SZ	0.23	0.30	0.51	0.51	25%	21%	56%	n.m.
Kehua	002335.SZ	0.10	0.40	0.22	0.24	12%	72%	59%	n.m.
Megmeet	002851.SZ	0.20	0.24	0.24	0.43	0%	98%	n.m.	n.m.
Electrification									
Hongfa Technology	600885.SS	0.31	0.43	0.40	0.27	-21%	-19%	-17%	44%
Envicool	002837.SZ	0.01	0.16	0.26	0.35	-82%	23%	83%	n.m.
Sungrow	300274.SZ	1.11	1.35	1.78	1.05	-40%	-29%	-11%	37%
Faratronic	600563.SS	1.19	1.19	1.40	1.55	1%	-12%	-1%	14%
Jianghai	002484.SZ	0.19	0.30	0.31	0.31	7%	25%	49%	91%
AVIC Jonhon	002179.SZ	0.19	0.35	0.36	0.49	-38%	-6%	n.m.	n.m.
Business service									
Centre Testing	300012.SZ	0.11	0.23	0.24	0.14	31%	15%	18%	16%
Power tools						2026 H1E		2026 H2E	
Techtronic	0669.HK	0.39		0.39		13%		25%	
Rolling stock									
Times Electric	3898.HK/688187.SS	0.48	0.83	0.84	1.03	3%	8%	8%	1%
CRRC Corp.	1766.HK/601766.SS	0.12	0.15	0.13	0.13	11%	4%	33%	12%
Median						5%	12%	23%	29%

Sanhua's and Hongfa's yoy EPS growth is impacted by share dilution from 2H25 share issuances (including Sanhua's H-share offering)

Source: Company data, Goldman Sachs Global Investment Research

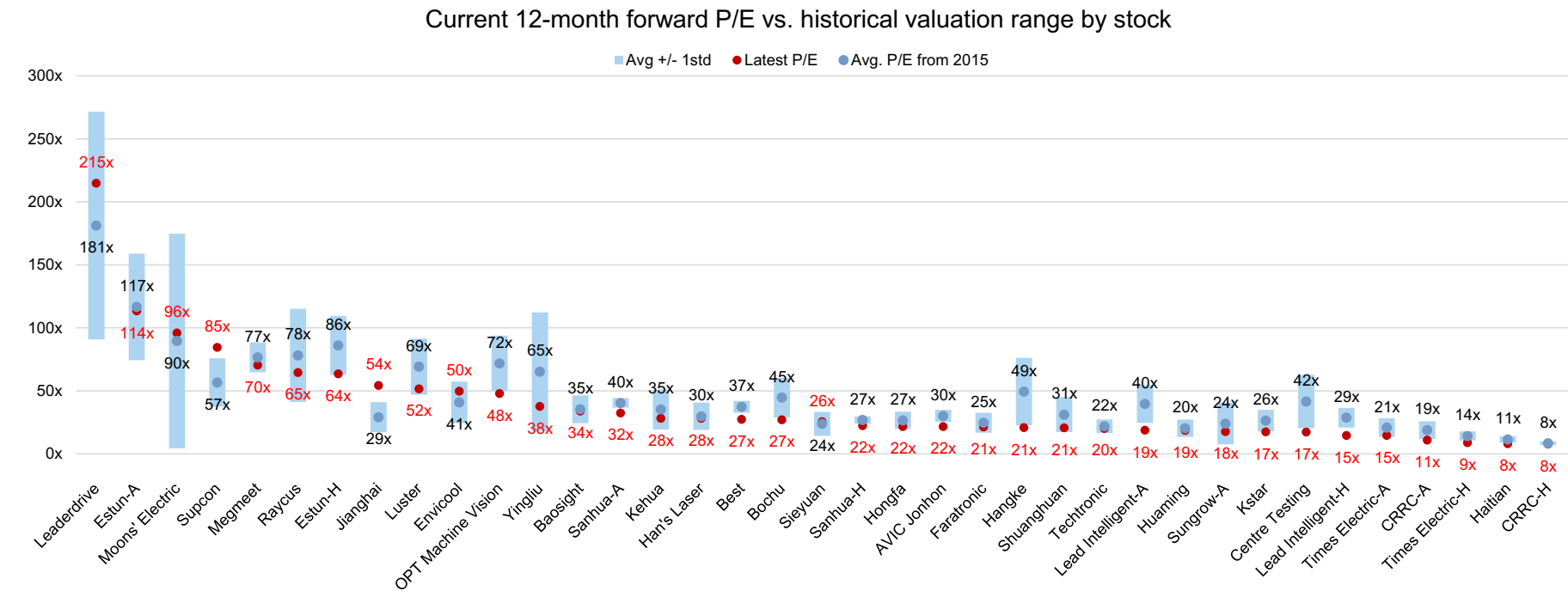
Exhibit 7: The sector’s sharp YTD share price divergence (-39% to +145%) suggests improving fundamentals are increasingly priced in, in our view, underpinning our downgrades of Jianghai and Han’s Laser from the sector’s top-performing cohort.



Closing price as of Jul 21st, 2026

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 8: Valuation positioning remains highly differentiated across the sector, creating opportunities to favor names offering attractive growth relative to their historical valuation ranges



Closing price as of Jul 21st, 2026

Source: Company data, Goldman Sachs Global Investment Research

Han's Laser (002008.SZ): Downgrade to Neutral on share price outperformance, strong PCB/consumer electronics equipment growth

largely priced in

Exhibit 9: Our new 12-month target price of Rmb113.0 implies a 12% upside

002008.SZ	12m Price Target: Rmb113	Price: Rmb100.89	Upside: 12%		
Neutral	GS Forecast				
		12/25	12/26E	12/27E	12/28E
Market cap: Rmb103.9bn / \$15.4bn	Revenue (Rmb mn) New	18,758.9	28,642.2	33,170.5	36,426.9
Enterprise value: Rmb100.9bn / \$14.9bn	Revenue (Rmb mn) Old	18,758.9	26,758.1	31,804.9	35,338.9
3m ADTV :Rmb8.1bn/ \$1.2bn	EBITDA (Rmb mn)	1,392.8	3,669.2	4,578.6	5,179.9
China	EPS (Rmb) New	1.16	2.93	3.77	4.27
China Industrial Tech & Machinery	EPS (Rmb) Old	1.16	2.66	3.67	4.19
	P/E (X)	26.4	34.5	26.8	23.6
M&A Rank: 3	P/B (X)	1.8	4.6	4.0	3.6
Leases incl. in net debt & EV?: No	Dividend yield (%)	0.7	0.6	0.7	0.8
	CROCI (%)	2.8	17.3	17.7	17.3
		3/26	6/26E	9/26E	12/26E
	EPS (Rmb)	0.34	0.91	0.94	0.73

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 21 Jul 2026 close.

Source: Company data, Goldman Sachs Global Investment Research

We downgrade Han's Laser to Neutral from Buy post the recent share price outperformance. Since we upgraded the stock to Buy on Sep 2, 2025, share price was +194% vs. CSI300 Index at +5.5%, mainly due to strong PCB equipment business growth fueled by AI PCB capex expansion and improving consumer electronics equipment demand outlook driven by increasing visibility on form factor changes. Post market close on Jul 9, the company pre-announced 1H26 net income in the range of Rmb1.25bn ~ 1.35bn (+156%~177% yoy), implying 2Q26 earnings at Rmb896mn ~ 996mn (+176%~207% yoy, +43%~+59% vs. GSe) mainly driven by >100%/>98% yoy sales growth for the PCB equipment segment and ~180%/~136% yoy sales growth for consumer electronics equipment in 1H26/2Q26. While we continue to forecast a robust growth profile with total sales/net income at Rmb28.6bn/3.0bn **(+53%/153% yoy) in 2026E** and Rmb33.2bn/3.9bn **(+16%/+29% yoy) in 2027E**, we believe **the current share price has largely factored in (1) the solid PCB equipment order visibility** in the next 2 years led

by general mechanical drilling orders from most major PCB makers in China and increasing adoption of high-value equipment such as CCD (Charge-Coupled Device) back-drilling machines and ultra-fast laser equipment; **(2)** incremental consumer electronics equipment opportunities mostly related to foldable phones and 3D printing technology in the Apple supply chain, as well as **(3) the expansion potentials for other AI related products** such as liquid cooling components and optical fibers, while we note that product development and customer acquisition will take time as Han's Laser is a new entrant in these spaces that are already crowded with multiple overseas incumbents and Chinese companies hoping to break into the global supply chain. With our TP implying 11% upside (vs. China Industrial Tech coverage average at 15% upside), we downgrade the stock to Neutral. **Upside risks:** (1) faster end-market capex growth; (2) faster development in new AI related businesses. **Downside risks:** (1) customer concentration risk; (2) intensifying peer competition.

PCB equipment supported by industry capacity expansion and product upgrades: We forecast Rmb10.6bn/12.2bn segment sales in 2026E/27E (+84%/+15% yoy), with 38%/39% GPM. We believe the strong growth will be driven by **(1)** general mechanical drilling orders from Victory Giant (300476.SZ, covered by Allen Chang), which is actively expanding capacity in China, Thailand, and Vietnam (see also: [Victory Giant \(300476.SZ\): Mgmt. visit: AI PCB in migration; Capacity expansion to capture the growth trend](#)), as well as other PCB customers' capacity buildout to support global and Chinese AI server clients; **(2)** increasing adoption of new equipment with higher content value, such as the CCD (Charge-Coupled Device) back-drilling machines to ensure high-speed signal integrity in multi-layer PCBs; and the ultrafast laser equipment, where the company has technology leadership and first-mover advantage vs. global/Chinese peers, used for cold-vaporizing tough composite materials without causing heat damage to the next-generation M9 CCL (Copper Clad Laminate) in AI server boards and the SLP (Substrate-Like PCBs) in 1.6T optical transceivers.

Form factor changes driving consumer electronics equipment growth acceleration: We forecast Rmb5.0bn/7.4bn segment sales in 2026E/27E (+101%/+48% yoy), with 47%/48% GPM. Our positive view is rooted in the upcoming form factor changes in the smartphone industry, notably with the increasing penetration of foldable phones with our global tech team recently raising 2027E global foldable phones volume estimates by 12% with a 70% 2025-27E CAGR (see also: [Global Smartphones: Cutting TAM growth to -6% / +2% on memory tightness](#)). We believe Han's Laser is poised to benefit from the increasing adoption of 3D print technology leveraging its 15 years+ of experience in developing 3D printing equipment and well-established relationships with the Apple supply chain, on the back of a series of recent developments including media reporting Apple's potential launch of a foldable iPhone (see also: [Bloomberg - Apple's iOS 27 Is Filled With Hints About Its Upcoming Foldable iPhone](#)). Timing wise, management expects to see initial equipment orders in 3Q26 with large wallet share allocated to the company, while the shipment will span across 2026-27 with most revenue to be recognized in 2027. Separately, component upgrades such as VC cooling components, new optical components, and other Apple's long-tail projects and businesses, will also contribute to the segment's growth in 2026, per management (see also: [Han's Laser Technology \(002008.SZ\): 1Q26 beat, strong PCB/electronics outlook, 3D printing on track; Buy](#)).

Limited contribution from new AI related businesses in near term: Han's Laser is expanding into other AI related component industries such as liquid cooling and optical fiber. In May 2026, the company acquired Shenzhen Attom Technology, a data center thermal management solution provider ([link](#)). In June 2026, the company announced a plan to invest up to Rmb2.52bn to build production facilities in 2 phases with a total annual capacity of 2,000 tons of preforms/synthetic quartz and 60 million fkm of communication fibers ([link](#)). However, we note that Han's Laser is still a new entrant in these segments. Both the liquid cooling and high-end specialty fiber markets are contested by established overseas incumbents and multiple Chinese peers competing to secure positions in global supply chains. Compared to these peers, who possess more extensive product and technological portfolios, well-established customer relationships, and mature supply chain ties, we believe it will take time for the company to achieve meaningful breakthroughs. Hence, we do not expect meaningful financial contribution from these areas in the near term, but we will actively monitor their operational milestones going forward.

Earnings and TP revisions: We revise up our 2026-30E net income forecasts by 2~10% to reflect the strong 2Q26 pre-announcement results. Accordingly, our 12-m TP moves to Rmb113.0 (vs. Rmb110.0 previously), still based on 30x 2027E P/E. Our 2026-28E sales/earnings forecasts are on average -1%/-3%, largely in line with vs. Wind Consensus as the above tailwinds are likely already factored in.

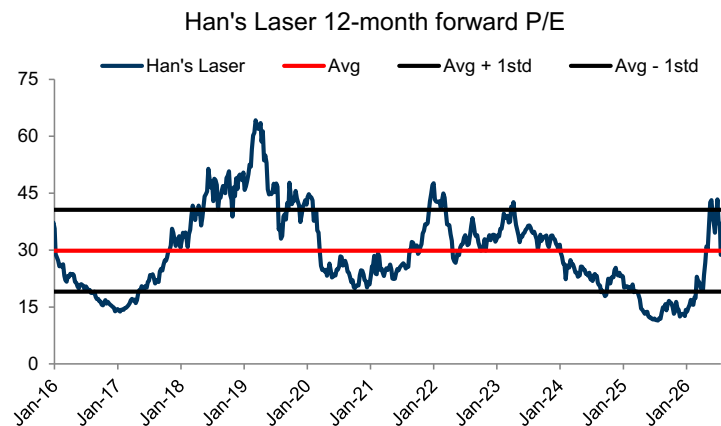
Exhibit 10: Han's Laser financial summary

Income statement (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	Balance sheet (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Total revenue	14,091	14,771	18,759	28,642	33,170	36,427	40,635	45,424	Cash & equivalents	7,022	5,858	6,838	8,860	10,347	12,546	14,991	17,844
Cost of goods sold	(9,168)	(10,068)	(12,516)	(18,391)	(20,928)	(22,880)	(25,404)	(28,268)	Accounts receivable	8,132	9,509	9,739	14,125	16,358	17,964	20,039	22,401
SG&A	(2,572)	(2,345)	(2,803)	(3,065)	(3,549)	(3,861)	(4,267)	(4,724)	Inventory	4,393	3,961	5,222	7,558	8,600	9,403	10,440	11,617
R&D	(1,767)	(1,800)	(2,065)	(3,437)	(3,980)	(4,371)	(4,876)	(5,451)	Other current assets	5,116	3,692	3,774	3,749	3,936	4,133	4,339	4,556
Other operating profit/(expense)	(502)	(608)	(487)	(700)	(811)	(874)	(975)	(1,090)	Total current assets	24,663	23,020	25,572	34,291	39,241	44,045	49,810	56,418
EBITDA	532	372	1,393	3,669	4,579	5,180	5,922	6,778	Net PP&E	3,947	4,229	6,311	6,919	7,606	8,363	9,200	10,131
Depreciation & amortization	(450)	(422)	(505)	(620)	(676)	(739)	(809)	(887)	Net intangibles	2,243	2,118	1,973	1,801	1,629	1,457	1,285	1,113
EBIT	82	(50)	888	3,049	3,902	4,441	5,113	5,891	Total investments	412	454	821	802	802	802	802	802
Interest income	193	252	245	401	310	362	439	525	Other long-term assets	2,936	4,406	3,572	3,662	3,797	3,930	4,080	4,251
Interest expense	(241)	(138)	(135)	(120)	(108)	(108)	(108)	(108)	Total assets	34,200	34,227	38,248	47,474	53,074	58,596	65,177	72,715
Income/(loss) from uncons. subs.	146	1,040	(99)	(19)	-	-	-	-	Accounts payable	7,219	8,023	10,293	14,612	16,627	18,178	20,184	22,459
Others	643	733	654	429	714	760	819	886	Short-term loans	4,765	1,948	2,394	1,730	1,730	1,730	1,730	1,730
Pretax profits	824	1,836	1,553	3,740	4,819	5,455	6,263	7,194	Other current liabilities	2,987	2,767	3,503	3,899	4,073	4,176	4,307	4,457
Income tax	87	(84)	(236)	(561)	(723)	(818)	(939)	(1,079)	Total current liabilities	14,971	12,738	16,190	20,241	22,430	24,085	26,221	28,646
Minorities	(91)	(58)	(128)	(167)	(217)	(238)	(274)	(315)	Long-term debt	2,123	3,237	2,635	2,352	2,352	2,352	2,352	2,352
Net income pre-preferred dividends	820	1,694	1,190	3,012	3,880	4,399	5,050	5,800	Other long-term liabilities	726	755	498	457	548	658	790	948
Preferred dividends	-	-	-	-	-	-	-	-	Total long-term liabilities	2,849	3,992	3,133	2,809	2,900	3,010	3,142	3,300
Net income (pre-exceptionals)	820	1,694	1,190	3,012	3,880	4,399	5,050	5,800	Total liabilities	17,820	16,730	19,322	23,050	25,330	27,095	29,362	31,945
Post-tax exceptionals	-	-	-	-	-	-	-	-	Preferred shares	-	-	-	-	-	-	-	-
Net income	820	1,694	1,190	3,012	3,880	4,399	5,050	5,800	Total common equity	15,000	16,139	17,283	22,614	25,718	29,237	33,277	37,917
EPS (basic, pre-except) (Rmb)	0.78	1.61	1.16	2.93	3.77	4.27	4.90	5.63	Minority interest	1,380	1,359	1,643	1,810	2,026	2,264	2,538	2,853
EPS (basic, post-except) (Rmb)	0.78	1.61	1.16	2.93	3.77	4.27	4.90	5.63	Total liabilities & equity	34,200	34,227	38,248	47,474	53,074	58,596	65,177	72,715
EPS (diluted, post-except) (Rmb)	0.78	1.61	1.16	2.93	3.77	4.27	4.90	5.63	BVPS	14.26	15.34	16.79	21.96	24.98	28.40	32.32	36.83
DPS (Rmb)	0.20	0.34	0.20	0.59	0.75	0.85	0.98	1.13									
Dividend payout ratio (%)	25.66	21.27	17.31	20.00	20.00	20.00	20.00	20.00									

Cash flow statement (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	Ratios	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net income pre-preferred dividends	820	1,694	1,190	3,012	3,880	4,399	5,050	5,800	ROE (%)	5.6	10.9	7.1	15.1	16.1	16.0	16.2	16.3
D&A add-back	450	422	505	620	676	739	809	887	ROA (%)	2.5	5.0	3.3	7.0	7.7	7.9	8.2	8.4
Minorities interests add-back	91	58	128	167	217	238	274	315	Cash conversion days	114.9	93.1	54.1	31.7	36.2	37.9	37.6	37.6
Net (inc)/dec working capital	(445)	(797)	960	(2,403)	(1,260)	(857)	(1,107)	(1,263)	Inventory days	178.6	151.4	133.9	126.8	140.9	143.6	142.5	142.4
Other operating cash flow	447	(251)	(1,314)	4	(96)	(87)	(75)	(59)	Receivables days	210.8	218.0	187.3	152.1	167.7	172.0	170.7	170.5
Cash flow from operations	1,363	1,126	1,469	1,399	3,416	4,432	4,951	5,680	Payable days	274.5	276.3	267.1	247.1	272.4	277.6	275.6	275.3
Capital expenditures	(1,474)	(1,394)	(639)	(1,146)	(1,327)	(1,457)	(1,625)	(1,817)	Net debt/equity (%)	(0.8)	(3.8)	(9.6)	(19.6)	(22.6)	(26.9)	(30.5)	(33.8)
Acquisitions	(89)	(560)	(480)	-	-	-	-	-	Interest cover - EBIT (X)	0.3	(0.4)	6.6	25.4	36.3	41.3	47.5	54.8
Divestitures	176	696	113	-	-	-	-	-	Growth & margins (%)	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Others	206	1,612	1,517	-	-	-	-	-	Sales growth	(5.8)	4.8	27.0	52.7	15.8	9.8	11.6	11.8
Cash flow from investments	(1,181)	354	511	(1,146)	(1,327)	(1,457)	(1,625)	(1,817)	EBITDA growth	(52.7)	(30.1)	274.6	163.4	24.8	13.1	14.3	14.5
Dividends paid (common & pref)	(493)	(333)	(506)	(206)	(602)	(776)	(880)	(1,010)	EBIT growth	(88.5)	(160.9)	(1,869.3)	243.3	28.0	13.8	15.1	15.2
Inc/(dec) in debt	1,159	(1,726)	(500)	(947)	-	-	-	-	Net income growth	(32.2)	106.5	(29.8)	153.2	28.8	13.4	14.8	14.9
Common stock issuance (repurchase)	68	61	256	-	-	-	-	-	EPS growth	(32.2)	106.5	(28.2)	153.2	28.8	13.4	14.8	14.9
Other financing cash flows	(126)	(646)	(250)	2,921	-	-	-	-	Gross margin	34.9	31.8	33.3	35.8	36.9	37.2	37.5	37.8
Cash flow from financing	607	(2,645)	(1,000)	1,769	(602)	(776)	(880)	(1,010)	EBITDA margin	3.8	2.5	7.4	12.8	13.8	14.2	14.6	14.9
Total cash flow	789	(1,165)	980	2,022	1,487	2,199	2,446	2,853	EBIT margin	0.6	(0.3)	4.7	10.6	11.8	12.2	12.6	13.0
									Net margin	5.8	11.5	6.3	10.5	11.7	12.1	12.4	12.8

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 11: After trading in the range of 35–40x P/E since May, Han's Laser is now at 28x 12-month forward P/E, close to its historical average of 30x



Source: Wind, Company data, Goldman Sachs Global Investment Research

Exhibit 12: Han's Laser is trading at 33x 12-month forward EV/EBITDA, at its historical average of 33x



Source: Wind, Company data, Goldman Sachs Global Investment Research

Key upside risks:

- **Stronger end-market capex growth:** We currently forecast solid PCB and consumer electronics equipment demand growth for the company in 2026–27E, followed by growth normalization into 2028E and beyond. Looking ahead, if PCB equipment demand (especially those associated with AI hardware) growth sustainability were longer than expected likely due to continued PCB product upgrade spurring new equipment demand and/or AI compute hardware demand supporting long-lasting industry-wide capex expansion, or the form factor changes in the consumer electronics space in future years are more significant than our expectation and hence lead to higher electronic device shipment and equipment demand, our sales growth forecasts will be positively affected.
- **Faster development in new AI related businesses:** We believe most of Han's Laser's growth drivers will come from the PCB equipment and consumer electronics equipment segments in the near term, while new businesses such as optical fibers and liquid cooling are still in an early stage of development and are faced with competition vs. incumbents despite robust industry demand driven by the global AI capex buildout. Going forward, if the commercialization of these emerging businesses are faster than our expectations, our sales and earnings forecasts will be positively impacted.

Key downside risks:

- **Customer concentration risk:** Some of Han's Laser product segments have high concentration from a single customer or end-user, such as Apple in the consumer electronics segment, and Victory Giant in the PCB equipment business. If the

business with these major customers is disrupted, possibly due to geopolitical uncertainties, major customers' own execution missteps, and/or technology changes, our sales and earnings forecasts will have downside risks.

- **Intensifying peer competition:** Han's Laser has been enjoying leading wallet share for the key equipment in select sectors, such as the mechanical drilling machines in the PCB sector and laser processing equipment for smartphone manufacturing, thanks to its strong R&D intensity (R&D expense at 11% of total sales in 2020-25 on average), mature customer relationships built over long-term design and supply chain partnerships, and solid vertical integration on key components ensuring competitive pricing and lead time. That said, if the competition intensifies going forward, especially from Chinese peers that are more aggressive on pricing, our sales and margins assumptions will be adversely impacted.

Investment thesis: Han's Laser is the largest laser equipment provider in China, with diverse end-market exposure, such as PCB, consumer electronics, lithium battery, FPD/semi, general industrials. We expect to see robust earnings growth and continued margins improvement in 2026-27E, driven by (1) increasing AI-related demand for the PCB equipment business since 2025, driven by solid demand of AI servers and optical transceivers as well as equipment upgrade as a result of PCB specs upgrade and rising PCB usage in AI servers; (2) new consumer electronics equipment opportunities due to the upcoming form factor changes in the smartphone industry especially 3D printing for titanium components; and (3) significant mix improvement with higher contribution from PCB and electronics equipment. That said, we believe the share price has priced in most of the earnings growth potentials with a balanced risk-reward profile among our China Industrial Tech coverage. Hence, we are Neutral rated on the stock.

Target price: Our 12m-TP of Rmb113.0 is based on 30x 2027E P/E.

Upside risks: (1) Faster development in new AI related businesses; (2) Faster vertical integration of core components.

Downside risks: (1) End-market capex growth slowdown; (2) Customer concentration risk.

Jianghai (002484.SZ): Downgrade to Sell with share price implied AIDC supercap & aluminum electrolytic capacitor market share too high

Exhibit 13: Our new 12-month target price of Rmb54.7 implies a 25% downside

002484.SZ	12m Price Target: Rmb54.7	Price: Rmb72.55	Downside: 24.6%			
Sell	GS Forecast					
		12/25	12/26E	12/27E	12/28E	
	Market cap: Rmb61.7bn / \$9.1bn	Revenue (Rmb mn) New	5,484.3	7,301.1	9,179.6	12,216.3
	Enterprise value: Rmb61.5bn / \$9.1bn	Revenue (Rmb mn) Old	5,484.3	7,321.7	8,627.6	10,092.1
	3m ADTV :Rmb3.9bn/ \$567.6mn	EBITDA (Rmb mn)	971.5	1,329.1	1,668.8	2,220.3
	China	EPS (Rmb) New	0.79	1.12	1.45	2.02
	China Industrial Tech & Machinery	EPS (Rmb) Old	0.79	1.11	1.44	1.73
		P/E (X)	30.6	65.0	49.9	36.0
	M&A Rank: 3	P/B (X)	3.3	8.8	7.8	6.8
	Leases incl. in net debt & EV?: No	Dividend yield (%)	1.1	0.5	0.6	0.8
		CROCI (%)	15.1	15.7	16.9	19.4
			3/26	6/26E	9/26E	12/26E
		EPS (Rmb)	0.19	0.30	0.31	0.31

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 21 Jul 2026 close.

Source: Company data, Goldman Sachs Global Investment Research

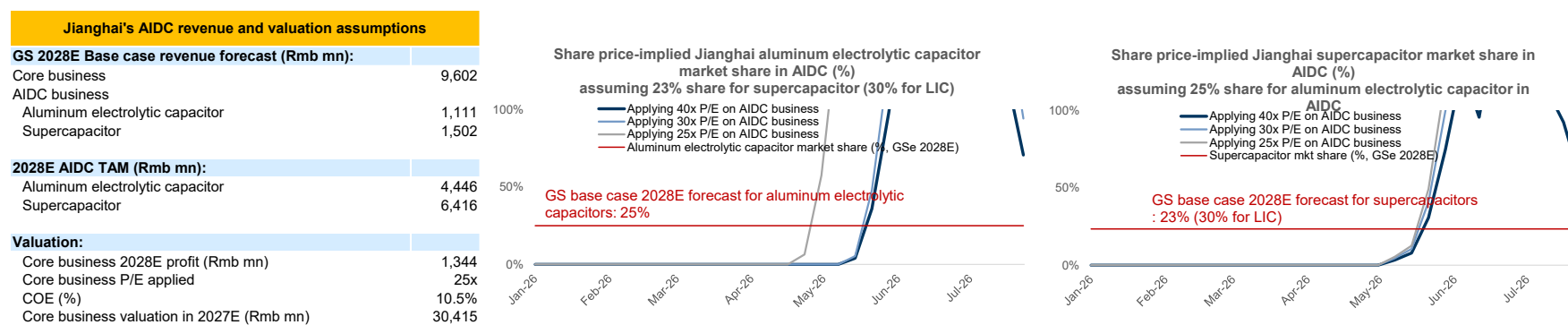
We downgrade Jianghai to Sell from Buy, despite raising our 12-month TP to Rmb54.7 from Rmb39.2, as the current share price now implies 25% downside (vs. +12% average for our coverage) and appears to have priced in an overly aggressive market share for LIC, MLPC, and aluminum electrolytic capacitors. While we lift our 2026E-2030E EPS forecasts by 1-43% to reflect stronger aluminum electrolytic capacitor demand, faster customer order ramp-up, higher usage assumptions, pricing upside, and incremental supercapacitor opportunities under next-generation AIDC power architectures, we believe these positives are now largely priced in following the stock's recent rerating.

After fully reflecting the opportunities listed above, we believe Jianghai's current valuation has run ahead of its medium-term AIDC potential. Since we upgraded the stock to Buy on Jan 12, 2026, Jianghai's share price has risen 108%,

outperforming the CSI 300 over the same period (~4%) and our China Industrial Tech coverage average (~4%). While we remain constructive on Jianghai's long-term positioning across aluminum electrolytic capacitors, MLPCs, EDLCs, and LICs, we now see greater risk that the share price already implies bullish market-share gains across these segments, despite still-limited customer certification progress in LIC and MLPC and remaining product-quality gaps versus leading peers. As such, we believe the stock's risk-reward is now more stretched.

We conduct a reverse-implied market share analysis to test what assumptions are embedded in the current share price. In our framework, we apply 25x P/E to 2028E core profit and 25x/30x/40x P/E to AIDC-related profit from aluminum electrolytic capacitors and EDLC/LIC supercapacitors. We view this range as reasonable: 25x for aluminum electrolytic is consistent with our core profit multiple which reflects that of a profitable, established capacitor business; 30x reflects stronger AIDC-driven growth optionality; and 40x represents our more bullish outlook on LIC-related opportunities, which we believe can command a premium given LIC's higher energy-density profile and potentially broader applicability in AIDC power-buffering use cases. If we exclude any valuation contribution from supercapacitors, the current share price would imply a 71%/94%/>100% market share for aluminum electrolytic capacitors within the 2028E AIDC TAM, depending on whether we apply 40x/30x/25x 2028E P/E. This compares with our base-case assumption of only 25% anchored in Jianghai's planned capacity expansion, existing aluminum electrolytic capacitor leadership, and our assessment of the pace at which it can qualify and ramp with AIDC customers. Alternatively, if the incremental valuation (ie, over and above our assumption of 25% share in AIDC) were attributed entirely to supercapacitors, the current share price would imply a 56%/74%/89% supercapacitor market share in 2028E on the same multiples, vs. our base case of 23% market share for supercapacitors or 30% for LIC. **We view both implied assumptions as too high.**

Exhibit 14: Current Jianghai share price implies separately 71%/94%/>100% market share for aluminum electrolytic capacitors or 56%/74%/89% market share for LIC in AIDC business by applying 40x/30x/25x P/E in 2028E, both above our base case forecast



Source: Company data, Goldman Sachs Global Investment Research

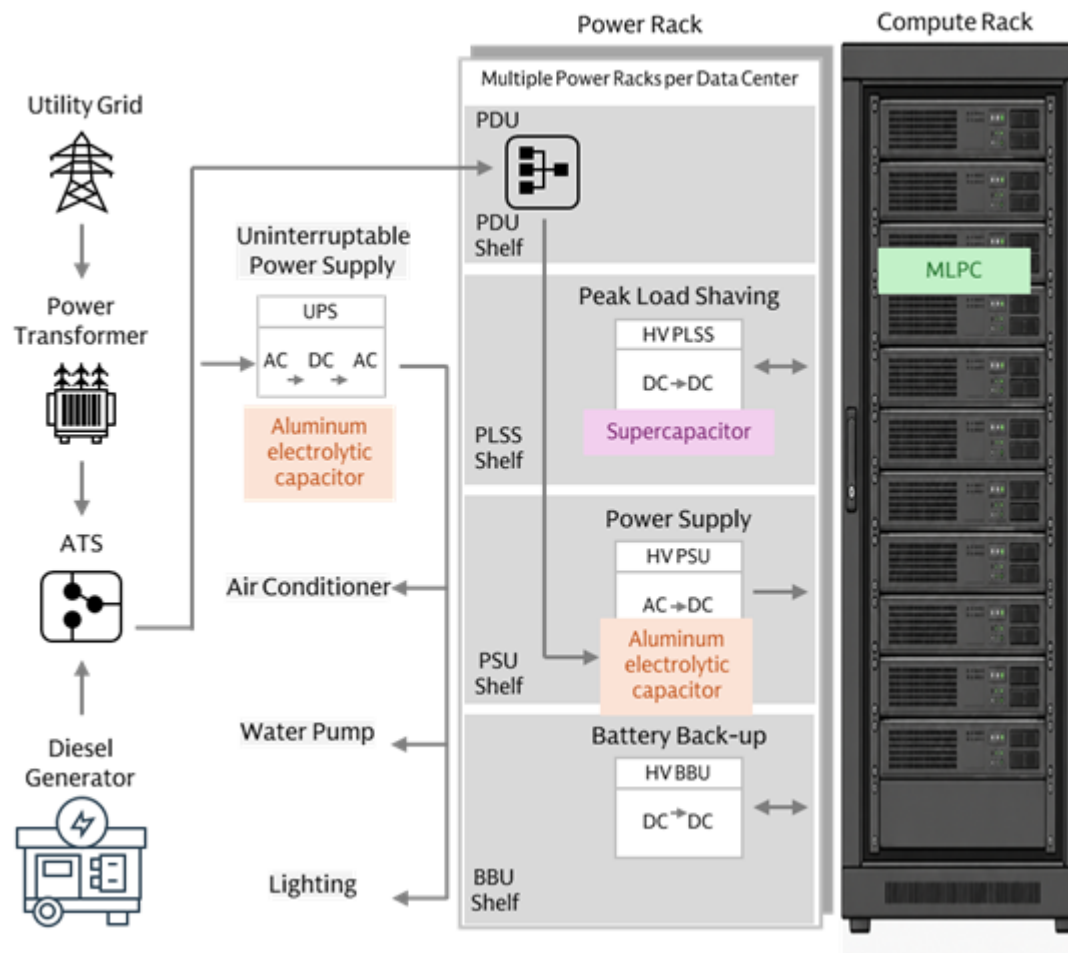
Exhibit 15: We revise up aluminum electrolytic capacitor, LIC, and MLPC revenue in recognition of company's capacity expansion plan

Jianghai revenue breakdown snapshot

Jianghai		2026E	2027E	2028E	2029E	2030E	Rationale for estimates change
Revenue (new)	Rmb mn	7,301	9,180	12,216	15,147	18,825	
Previous	Rmb mn	7,322	8,628	10,092	11,684	13,332	
vs. Previous	%	-0.3%	6.4%	21.0%	29.6%	41.2%	Revising up AIDC business forecasts
Traditional business (new)	Rmb mn	6,607	7,560	8,426	9,481	10,545	
Previous	Rmb mn	6,602	7,563	8,491	9,702	11,048	
vs. Previous	%	0.1%	0.0%	-0.8%	-2.3%	-4.6%	--
AIDC business (new)	Rmb mn	694	1,620	3,790	5,666	8,280	
Previous	Rmb mn	719	1,064	1,601	1,982	2,284	
vs. Previous	%	-3.5%	52.2%	136.7%	185.8%	262.5%	--
(1) Aluminum electrolytic capacitors (new)	Rmb mn	444	611	1,111	1,635	2,448	
Previous	Rmb mn	479	610	675	764	853	
vs. Previous	%	-7.3%	0.1%	64.7%	114.1%	187.0%	Higher industry demand backed by customer order placement with rising ASP, combined with company's raised capacity expansion plan;
as % of revenue (new)	%	6.1%	6.7%	9.1%	10.8%	13.0%	
(2) Supercapacitors - EDLC (new)	Rmb mn	96	190	236	250	258	
Previous	Rmb mn	206	361	591	665	749	
vs. Previous	%	-53.5%	-47.3%	-60.0%	-62.5%	-65.5%	Lower EDLC content value as well as lower penetration rate expectations vs LIC
as % of revenue (new)	%	1.3%	2.1%	1.9%	1.6%	1.4%	
(3) Supercapacitors - LIC (new)	Rmb mn	48	302	1,266	2,293	3,692	
Previous	Rmb mn	35	94	336	553	682	
vs. Previous	%	39.2%	222.7%	276.9%	314.6%	441.3%	More severe industry shortage and thus higher market share expectations
as % of revenue (new)	%	0.7%	3.3%	10.4%	15.1%	19.6%	
(4) MLPC (new)	Rmb mn	106	517	1,176	1,488	1,882	
Previous	Rmb mn	-	-	-	-	-	
vs. Previous	%	n.m.	n.m.	n.m.	n.m.	n.m.	Higher industry demand, combined with company's more aggressive capacity expansion plan
as % of revenue (new)	%	1.5%	5.6%	9.6%	9.8%	10.0%	

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 16: Jianghai has three products to benefit from AIDC power rack: aluminum electrolytic capacitors, mainly in PSU, supercapacitors (EDLC + LIC), and MLPC in compute rack



Source: Company data

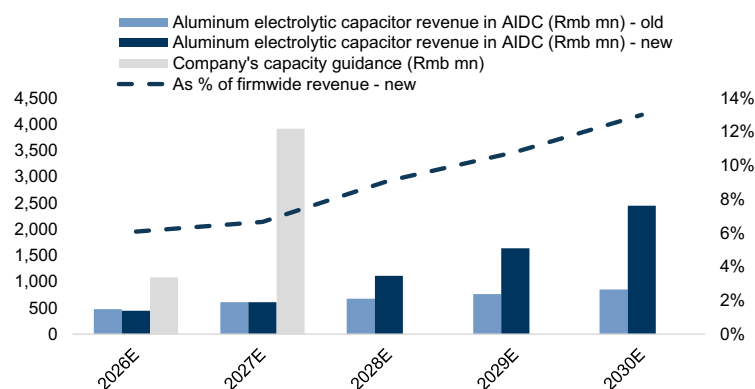
We raise our aluminum electrolytic capacitor revenue forecasts from 2027-30E to reflect better-than-expected progress in: **(1) the company's customer win** with Delta Electronics (2308.TW, covered by Chao Wang) and incremental orders from Megmeet (002851.SZ, covered by Hao Chen); **(2) higher per-rack usage assumptions** based on company commentary, with aluminum electrolytic capacitor content projected to reach 400-1,000+ units per server rack as power density increases, supported by aggressive capacity expansion to 4-5mn units/month by end-2026E and 10mn units/month by 2027E; and **(3) ASP upside**, with our expectations for pricing to increase from Rmb35/unit currently to Rmb45-55/unit as supply tightens.

Assuming a 25% share of the addressable market by volume in 2028-30E, we now project AIDC aluminum electrolytic capacitor revenue to grow from Rmb444mn in 2026E (6% of total revenue) to Rmb2.4bn in 2030E (13% of total revenue).

Supporting this view, Nippon Chemi-Con's latest earnings call reinforced the strong outlook for aluminum electrolytic capacitors in AI servers, with the company planning to invest JPY4.84bn (US\$30mn) in this application between April 2026 and June 2028. Applying Jianghai's indicated 1:5 investment-to-output ratio, this implies approximately 26% capacity expansion, while Jianghai has prepared an even more aggressive expansion plan (c.90% capacity increase) to capture incremental demand.

Exhibit 17: We forecast Jianghai's aluminum electrolytic capacitor revenue to reach Rmb2.4bn by 2030E, contributing 13% of firmwide revenue

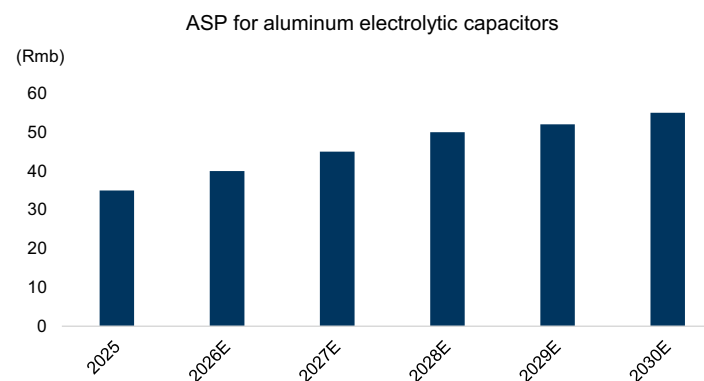
Jianghai aluminum electrolytic capacitor revenue and capacity



Source: Company data, Goldman Sachs Global Investment Research

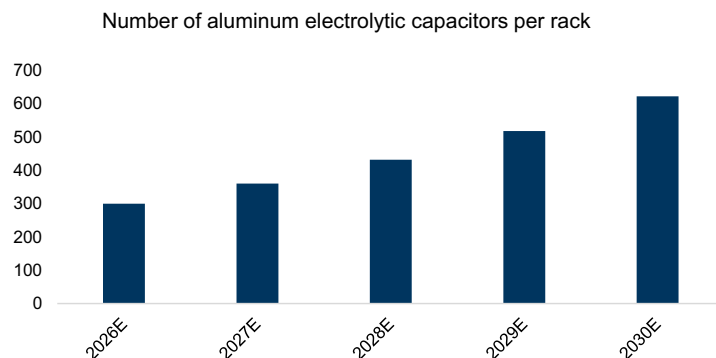
Exhibit 18: ...driven by ASP increases amid potential supply tightness in 2026E/27E

Jianghai aluminum electrolytic capacitor ASP forecast



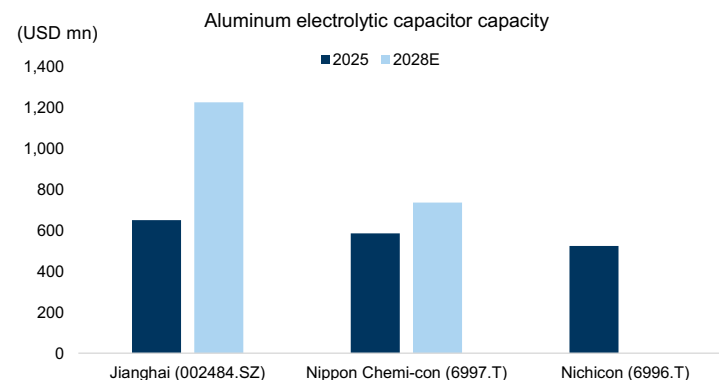
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 19: ...and we expect volume to increase along with rising power density in server racks



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 20: Jianghai already has larger revenue in aluminum electrolytic capacitor than do NCC and Nichicon, and has more aggressive capacity expansion plans to capture larger share



2025 capacity is equivalent to that year's aluminum electrolytic capacitor revenue. Our Nippon Chemi-Con capacity estimate is based on the publicly announced company plan, rather than a GS-covered company model.

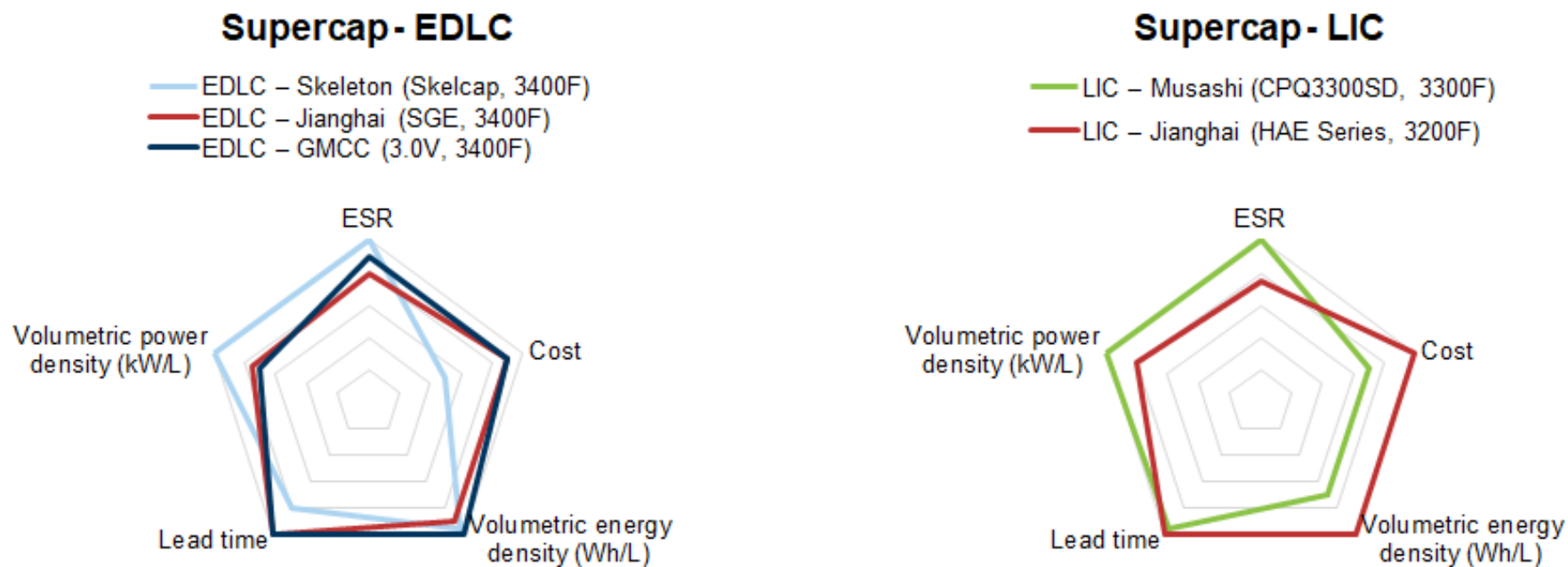
Source: Company data, Goldman Sachs Global Investment Research

We raise our LIC (lithium-ion capacitor) revenue forecasts for 2026–30E by c.1.4~5.4x, while cutting EDLC by c.47~66%, reflecting a clear strategic shift toward LIC as duration and power requirements increase. We expect incremental demand to be primarily absorbed by industry leader Musashi (targeting c.6.5mn units of capacity by 2027E) and Jianghai (c.3mn units), implying a duopoly with roughly 70%/30% market share when operating near full utilization, with residual demand met by EDLC.

While Jianghai has secured incremental EDLC orders (including c.1.4–1.5mn units from Megmeet and certification at Delta), we view EDLC as a transitional solution. We expect an initial ramp beginning in 2H26, supported by its high-frequency response and suitability for short-duration ride-through requirements under next-generation rack-level backup architectures. Over time, however, we expect EDLC TAM to peak within the next few years and stabilize at around Rmb1.5bn by 2029–30E as adoption gradually shifts toward LIC.

Our forecasts assume Jianghai reaches c.30% LIC share and c.20% EDLC share by 2030E, driving AIDC-supercapacitors to approximately 21% of group revenue. Even this reflects a constructive outlook, in our view, given persistent performance gaps versus leading peers (e.g., Musashi, Skeleton, and Sieyuan/GMCC), as well as the likelihood that Jianghai's share gains are partly supply-driven rather than purely the result of competitive differentiation.

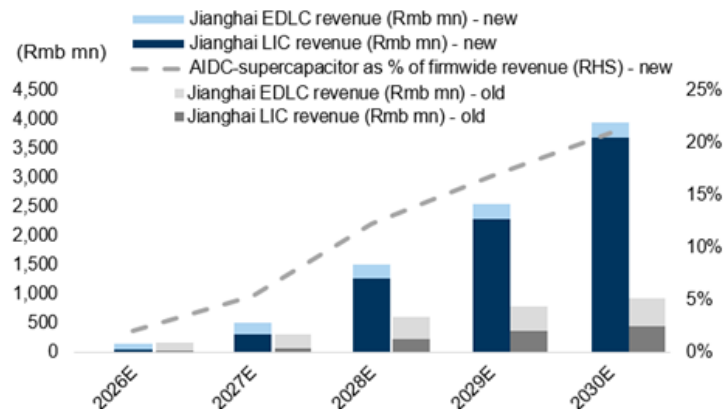
Exhibit 21: Jianghai's EDLC and LIC still have key parameter (Equivalent Series Resistance, ESR) gap vs other players (Skeleton, Sieyuan/GMCC, Musashi)



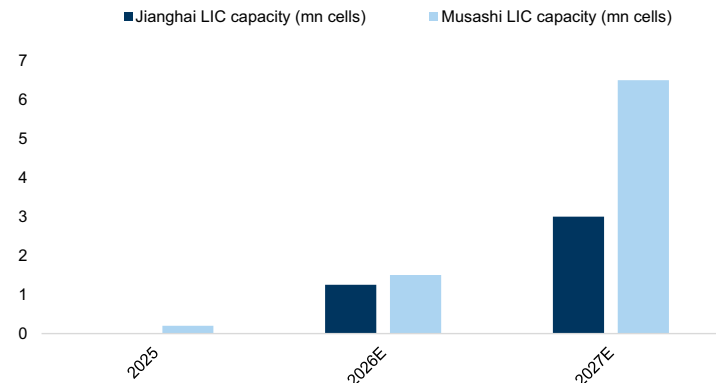
Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 22: We forecast Jianghai AIDC-supercapacitor revenue to scale up to Rmb3.9bn revenue by 2030E, making up 21% of total revenue

Jianghai AIDC-supercapacitor revenue breakdown & forecast



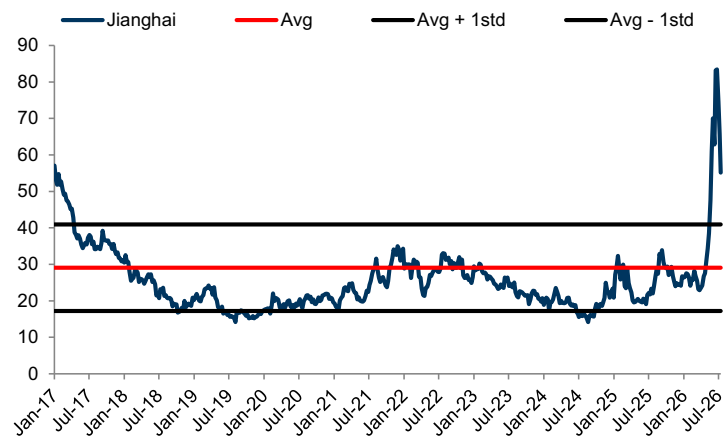
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 23: We think Jianghai could potentially take up 30% of the LIC AIDC-supercapacitor market share assuming full utilization of its capacity


Source: Company data, Goldman Sachs Global Investment Research

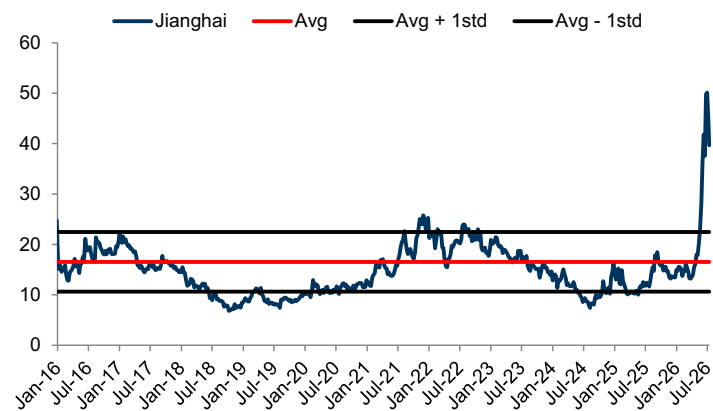
On MLPC (multi-layer polymer capacitors), Jianghai has existing a product portfolio that will likely see benefits from demand in AI servers, similar to MLCCs (Multi-layer ceramic capacitors). While MLCCs are mainly used for small, high-frequency decoupling close to CPUs, GPUs, memory, etc., MLPC are used around Power Supply Units and Voltage Regulator Modules, because they provide larger and more stable bulk capacitance and better ripple-current handling. However, they are larger with usually higher leakage, and therefore used to complement, not to replace MLCC. We forecast Jianghai to scale its MLPC revenue from Rmb106mn in 2026E to Rmb1.8bn by 2030E, making up 10% of firmwide revenue.

Exhibit 24: Jianghai trades at 12-m forward P/E of 55x, vs its past ten year average of 29x



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 25: Jianghai is trading at 40x 12-m forward EV/EBITDA, above its past ten year average of 16x



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 26: Jianghai financial summary

Income statement (Rmb mn)								Balance sheet (Rmb mn)							
	2024	2025	2026E	2027E	2028E	2029E	2030E		2024	2025	2026E	2027E	2028E	2029E	2030E
Total revenue	4,808	5,484	7,301	9,180	12,216	15,147	18,825	Cash & equivalents	1,171	1,486	679	497	479	1,092	1,732
Cost of goods sold	(3,611)	(4,162)	(5,533)	(6,914)	(9,126)	(11,225)	(13,885)	Accounts receivable	1,994	2,312	3,000	3,647	4,853	5,810	7,221
SG&A	(232)	(269)	(292)	(367)	(489)	(606)	(753)	Inventory	1,030	1,304	1,668	2,084	2,750	3,383	4,185
R&D	(270)	(271)	(402)	(505)	(672)	(833)	(1,035)	Other current assets	306	435	479	527	579	637	701
Other operating profit/(expense)	(55)	(66)	(58)	(73)	(98)	(121)	(151)	Total current assets	4,502	5,536	5,826	6,754	8,662	10,922	13,838
EBITDA	890	972	1,329	1,669	2,220	2,786	3,460	Net PP&E	2,107	2,424	2,562	2,843	3,025	3,140	3,205
Depreciation & amortization	(250)	(255)	(314)	(349)	(388)	(425)	(459)	Net intangibles	292	318	308	298	289	279	269
EBIT	640	716	1,016	1,320	1,832	2,362	3,000	Total investments	154	74	77	84	93	105	119
Interest income	9	11	13	6	4	4	10	Other long-term assets	412	272	631	811	750	720	705
Interest expense	(12)	(10)	(11)	(11)	(11)	(11)	(11)	Total assets	7,467	8,624	9,404	10,790	12,819	15,166	18,137
Income/(loss) from uncons. subs.	(0)	2	4	7	9	11	14	Accounts payable	1,086	1,634	1,668	2,084	2,750	3,383	4,185
Others	105	62	64	92	122	151	188	Short-term loans	207	310	310	310	310	310	310
Pretax profits	742	781	1,086	1,413	1,957	2,518	3,202	Other current liabilities	96	121	187	273	416	564	744
Income tax	(81)	(101)	(130)	(170)	(235)	(302)	(384)	Total current liabilities	1,389	2,065	2,165	2,667	3,477	4,257	5,239
Minorities	(6)	(6)	(7)	(8)	(8)	(9)	(10)	Long-term debt	94	126	126	126	126	126	126
Net income pre-preferred dividends	655	675	949	1,236	1,714	2,207	2,807	Other long-term liabilities	86	93	103	113	124	137	151
Preferred dividends	-	-	-	-	-	-	-	Total long-term liabilities	180	219	229	239	250	263	276
Net income (pre-exceptionals)	655	675	949	1,236	1,714	2,207	2,807	Total liabilities	1,569	2,284	2,393	2,906	3,727	4,520	5,516
Post-tax exceptionals	-	-	-	-	-	-	-	Preferred shares	-	-	-	-	-	-	-
Net income	655	675	949	1,236	1,714	2,207	2,807	Total common equity	5,857	6,269	6,933	7,798	8,998	10,543	12,508
EPS (basic, pre-except) (Rmb)	0.77	0.79	1.12	1.45	2.02	2.59	3.30	Minority interest	41	71	78	85	94	103	113
EPS (basic, post-except) (Rmb)	0.77	0.79	1.12	1.45	2.02	2.59	3.30	Total liabilities & equity	7,467	8,624	9,404	10,790	12,819	15,166	18,137
EPS (diluted, post-except) (Rmb)	0.77	0.79	1.12	1.45	2.02	2.59	3.30	BVPS	6.93	7.45	8.24	9.27	10.69	12.52	14.84
DPS (Rmb)	0.26	0.26	0.33	0.44	0.60	0.78	0.99								
Dividend payout ratio (%)	33.53	32.45	30.00	30.00	30.00	30.00	30.00								

Cash flow statement (Rmb mn)								Ratios							
	2024	2025	2026E	2027E	2028E	2029E	2030E		2024	2025	2026E	2027E	2028E	2029E	2030E
Net income pre-preferred dividends	655	675	949	1,236	1,714	2,207	2,807	ROE (%)	11.5	11.1	14.4	16.8	20.4	22.6	24.4
D&A add-back	250	255	314	349	388	425	459	ROA (%)	8.9	8.4	10.5	12.2	14.5	15.8	16.9
Minorities interests add-back	6	6	7	8	8	9	10	Cash conversion days	143.6	126.4	121.9	132.2	127.0	128.5	126.3
Net (inc)/dec working capital	(273)	(160)	(1,019)	(646)	(1,206)	(957)	(1,411)	Inventory days	107.6	102.3	98.0	99.0	96.7	99.7	99.5
Other operating cash flow	10	91	(38)	(44)	(51)	(57)	(64)	Receivables days	147.5	143.3	132.8	132.2	127.0	128.5	126.3
Cash flow from operations	648	868	212	902	853	1,627	1,802	Payable days	111.5	119.2	108.9	99.0	96.7	99.7	99.5
Capital expenditures	(297)	(316)	(800)	(800)	(500)	(500)	(500)	Net debt/equity (%)	(14.8)	(16.6)	(3.5)	(0.8)	(0.5)	(6.2)	(10.3)
Acquisitions	-	(2)	-	-	-	-	-	Interest cover - EBIT (X)	na	na	na	na	na	na	na
Divestitures	-	-	-	-	-	-	-								
Others	189	(64)	-	-	-	-	-	Growth & margins (%)							
Cash flow from investments	(108)	(382)	(800)	(800)	(500)	(500)	(500)	Sales growth	(0.8)	14.1	33.1	25.7	33.1	24.0	24.3
Dividends paid (common & pref)	(231)	(229)	(219)	(285)	(371)	(514)	(662)	EBITDA growth	(8.1)	9.1	36.8	25.6	33.0	25.5	24.2
Inc/(dec) in debt	(73)	124	-	-	-	-	-	EBIT growth	(15.1)	11.9	41.8	30.0	38.8	28.9	27.0
Common stock issuance (repurchase)	30	-	-	-	-	-	-	Net income growth	(7.4)	3.0	40.7	30.3	38.6	28.8	27.2
Other financing cash flows	(68)	(67)	-	-	-	-	-	EPS growth	(7.9)	3.0	40.7	30.3	38.6	28.8	27.2
Cash flow from financing	(343)	(171)	(219)	(285)	(371)	(514)	(662)	Gross margin	24.9	24.1	24.2	24.7	25.3	25.9	26.2
Total cash flow	197	314	(807)	(182)	(17)	613	640	EBITDA margin	18.5	17.7	18.2	18.2	18.2	18.4	18.4
								EBIT margin	13.3	13.1	13.9	14.4	15.0	15.6	15.9
								Net margin	13.6	12.3	13.0	13.5	14.0	14.6	14.9

Source: Company data, Goldman Sachs Global Investment Research

Earnings and TP revisions: We raise our 2026E-2030E EPS forecasts by 1%/16%/29%/43%, primarily reflecting stronger aluminum electrolytic capacitor demand, faster customer order ramp-up, higher usage assumptions, pricing upside, and

incremental supercapacitor opportunities under next-generation AIDC power architectures. Despite these upgrades, our forecasts are already above Wind consensus (+10%/+15%/+22% and +6%/+8%/+15% on 2026E/2027E/2028E revenue/net income respectively), which supports our view that upside is increasingly priced in.

We also expect margin improvement over the forecast period, but view the pace as being more gradual relative to revenue growth. Near term, high product mix in aluminum electrolytic capacitors should support gross margin due to the aluminum electrolytic capacitor supply tightness and price increases in 2026. This supports our forecast of 0.8pp EBIT margin improvement, from 13.1% in 2025 to 13.9% in 2026E. From 2027 onward, we expect the improvement trajectory to be more linear, with EBIT margin rising to 14.4%/15.0%/15.6%/15.9% in 2027E/2028E/2029E/2030E.

We have also considered the balance-sheet implications of Jianghai's capacity expansion. While a large AIDC-related capacity ramp could require higher capex, we do not currently view balance-sheet risk as the central constraint particularly because the company's 2025 revenue base remained highly concentrated in aluminum electrolytic capacitors (81% as of FY2025 vs. 6% for supercapacitors).

Our new 12-month TP of Rmb54.7 (vs. Rmb39.2 previously) is based on 30x 2028E P/E discounted back to 2027E (vs. 25x previously) with a 10.5% CoE (unchanged). We raise our target multiple to 30x to reflect improved visibility on Jianghai's AIDC-related earnings opportunity, including higher-spec aluminum electrolytic capacitors, supercapacitors used in BBU and power-buffering applications, and MLPC opportunities inside AI server racks. However, we keep the multiple below a more aggressive high-growth scenario (eg. 40x) given ongoing customer qualification and other execution risks. We move to a 2028E earnings base because Jianghai's key incremental AIDC opportunities are likely to become more meaningful as AI data center power infrastructure transitions toward NVIDIA's proposed 800VDC architecture, where 2025-2027E will be a rollout transition period, with more material earnings contribution likely from 2028E onward (see our China AIDC + Power virtual corporate day takeaways [here](#), and primer on 800VDC [here](#) from the European Industrial team).

What would make us more positive: Faster LIC and MLPC customer qualification, clearer evidence of supercapacitor adoption in 800VDC AIDC power architectures, stronger MLPC penetration inside AI server racks, better-than-expected margin conversion from ASP and mix improvement

Key upside risks:

(1) Faster-than-expected LIC and MLPC customer qualification progress: Jianghai may achieve customer certification and volume production milestones faster than expected, accelerating revenue ramp-up and improving long-term growth visibility in AI data center applications.

(2) Higher-than-expected market share gains in LIC, MLPC, and aluminum electrolytic capacitors: Jianghai may gain market share higher than our forecast assumptions if capacity expansion, customer wins, and product competitiveness

improve more quickly than anticipated if capacity expansion and product competitiveness improve more quickly relative to peers than anticipated.

(3) Stronger AIDC demand, capacitor content growth, and pricing than our expectations. This could be driven by faster AI server and rack deployment, rising rack power density, and accelerated adoption of 800VDC power architectures.

Jianghai is a top aluminum electrolytic capacitor supplier expanding into film capacitor, supercapacitor, and MLPC products. From a positive standpoint, we note the company's 1) vertical integration of key aluminum electrolytic capacitor manufacturing processes with a c.75% self-sufficiency rate for formed foil (vs. c.30% for Japanese peers), which provides c.18% GPM advantage and closer control of product performance; (2) strong industrial client base in aluminum electrolytic capacitor, which has high entry barriers – with brand recognition the company can leverage into other segments. We expect AIDC-led demand across aluminum electrolytic capacitors, LIC, and MLPC to remain the key earnings driver from 2026E, supported by customer wins, higher per-rack usage, pricing upside, and next-generation power architectures, while EDLC is likely to be a more transitional solution as adoption shifts toward LIC over time. However, after the stock's recent rerating, we believe the current valuation has run ahead of Jianghai's medium-term AIDC potential and already prices in overly aggressive market-share gains across LIC, MLPC, and aluminum electrolytic capacitors, despite still-limited LIC and MLPC customer certification progress and remaining product-quality gaps versus leading peers. We are Sell-rated.

Price Target Risks and Methodology - Jianghai

Valuation methodology: Our 12-m TP is Rmb35.5, based on a 25x 2028E P/E discounted back to 2026E with 10.5% CoE.

Upside risks: (1) Faster-than-expected LIC and MLPC customer qualification progress; (2) Higher-than-expected market share gains in LIC, MLPC, and aluminum electrolytic capacitors; (3) Stronger AIDC demand, capacitor content growth, and pricing than our expectations.

HangKe (688006.SS): Upgrade to Neutral from Sell as valuation turns fair after share price correction

Exhibit 27: Our new 12-month target price of Rmb22.8 implies a 7% upside

688006.SS	12m Price Target: Rmb22.8	Price: Rmb21.27	Upside: 7.2%
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Neutral	GS Forecast				
		12/25	12/26E	12/27E	12/28E
Market cap: Rmb12.8bn / \$1.9bn	Revenue (Rmb mn) New	2,996.8	4,439.9	5,576.4	6,636.2
Enterprise value: Rmb10.0bn / \$1.5bn	Revenue (Rmb mn) Old	2,996.8	4,439.9	5,576.4	6,636.2
3m ADTV :Rmb639.5mn/ \$94.3mn	EBITDA (Rmb mn)	297.3	495.5	682.6	923.1
China	EPS (Rmb) New	0.61	0.85	1.14	1.49
China Industrial Tech & Machinery	EPS (Rmb) Old	0.61	0.85	1.14	1.49
	P/E (X)	38.1	24.9	18.6	14.2
M&A Rank: 3	P/B (X)	2.6	2.2	2.0	1.8
Leases incl. in net debt & EV?: No	Dividend yield (%)	0.7	0.6	0.8	1.1
	CROCI (%)	20.2	21.5	19.8	20.1
		3/26	6/26E	9/26E	12/26E
	EPS (Rmb)	0.21	0.37	0.20	0.06

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 21 Jul 2026 close.

Source: Company data, Goldman Sachs Global Investment Research

We upgrade HangKe to Neutral from Sell and maintain our 12-month target price at Rmb22.8, now implying 7% upside potential (vs. +12% average for our coverage). Since we added the stock to the Sell list on September 28, 2025, the share price has fallen 43% (vs. the CSI300 Index's +1.1%). The underperformance was likely driven by: 1) the moderation in battery OEMs' capacity outlook due to the deceleration of China NEV sales growth since 2H25, with domestic EV sales recording +7% yoy in 1H26 vs. +40% yoy in 1H25; and 2) slower-than-expected progress on full solid-state battery's early-stage commercialization vs. the market's overly optimistic expectations in 1H25. According to the GS China Battery team ([report link](#)), they expect that battery capacity expansion is likely to re-accelerate in 2026-27E after a more disciplined phase in 2024-25, setting the stage for effective capacity to double to 4.60TWh by 2028E, with capex reaching a new high of c.Rmb140bn by 2027E driven by an ESS-led demand surge. However, this front-loaded demand increase could be followed

by a potentially negative swing from 2028E onward, decelerating the capacity expansion pace in 2028E-30E.

We maintain our 2026E-30E revenue/net income forecasts, implying a 19%/23% CAGR over 2026E-30E. We look for 48%/26% revenue growth in 2026E/27E, driven by the battery capacity expansion re-acceleration in 2026-27E plus HangKe's solid positioning with domestic and overseas battery OEMs. We expect gross margin to recover from 28% in 2025 to 31%/32% in 2026E/27E on a richer overseas revenue mix and a shorter lead time based on high production utilization on the battery OEM side, and OP margin to improve from 6.1% in 2025 to 8.3%/9.8% in 2026E/27E, supported by sales growth and operating leverage. In terms of valuation, we believe the share price is now trading at a relatively fair multiple, at 20x 12-month forward P/E (around 1std below its historical average of 50x) against 40%/34% earnings growth in 2026E/27E and a 23% CAGR over 2026E-30E. As a result, we see the Sell case as less compelling and upgrade the shares to Neutral.

Key upside/downside risks

- **Stronger-/weaker-than-expected EV sales in China and globally:** Significant developments in EV would increase demand for batteries and therefore battery equipment, which is the company's main business. A significant surge in EV demand would impact our battery demand forecasts and thus pose upside risks, and vice versa.
- **More/less durable ESS-led demand surge:** The GS China Battery Team expects battery capacity expansion to re-accelerate in 2026E-27E after a more disciplined phase in 2024-25, driven by an ESS-led demand surge. If this trend proves stronger or more sustainable than we expect, industry capex and HangKe's order intake could exceed expectations, posing upside risk. Conversely, if this front-loaded demand increase is weaker or the negative demand swing materializes earlier than 2028E, the capacity expansion pace and equipment orders could decelerate faster, posing downside risks.
- **Better/worse-than-expected domestic market share expansion and order outlook:** For 2025, we estimated that HangKe has 29% tier 1 customer exposure in the domestic battery equipment market. As the domestic market is experiencing continuous industry concentration, if HangKe gains/loses market share and exposure to domestic tier 1 customers, it would pose upside/downside risk to our estimates and valuation with the potential for order strength/sluggishness and better/worse topline sustainability.
- **Faster/slower-than-expected solid-state battery (SSB) R&D and commercialization progress:** Current SSB equipment is still mainly test-line/R&D-driven with no clear visibility on the mass production and commercialization timeline. Once the major manufacturing technology bottlenecks are addressed, significant product advantages could translate into a rapid ramp-up of new capacity expansion demand, contributing to higher-than-expected earnings growth from SSB equipment and upside risk accordingly, and vice versa.

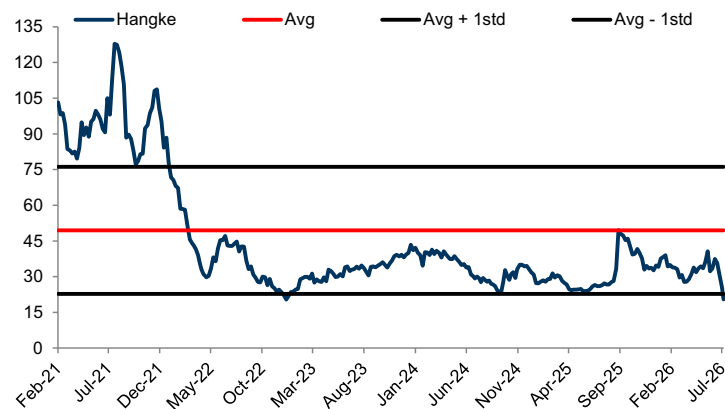
Exhibit 28: HangKe's financial summary

Income statement (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	Balance sheet (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Total revenue	3,932	2,981	2,997	4,440	5,576	6,636	8,088	9,024	Cash & equivalents	2,866	2,712	3,767	2,926	2,449	2,205	1,667	1,647
Cost of goods sold	(2,456)	(2,047)	(2,147)	(3,082)	(3,789)	(4,419)	(5,405)	(6,036)	Accounts receivable	1,993	1,890	1,664	2,343	2,943	3,502	4,268	4,762
SG&A	(311)	(270)	(291)	(524)	(658)	(783)	(954)	(1,065)	Inventory	2,901	2,913	3,208	4,605	5,660	6,602	8,076	9,018
R&D	(244)	(257)	(272)	(311)	(390)	(465)	(566)	(632)	Other current assets	857	668	676	676	676	676	676	676
Other operating profit/(expense)	(62)	(79)	(105)	(155)	(195)	(199)	(243)	(271)	Total current assets	8,617	8,182	9,314	10,550	11,728	12,985	14,687	16,103
EBITDA	958	447	297	495	683	923	1,091	1,213	Net PP&E	1,264	1,168	1,196	1,207	1,269	1,374	1,513	1,682
Depreciation & amortization	(99)	(119)	(116)	(128)	(138)	(153)	(171)	(192)	Net intangibles	185	197	209	196	183	170	157	144
EBIT	859	328	181	368	544	771	920	1,021	Total investments	-	(0)	0	1	1	1	1	1
Interest income	38	38	38	75	59	49	44	33	Other long-term assets	159	222	197	272	334	390	443	495
Interest expense	(1)	(1)	(0)	(1)	(1)	(1)	(1)	(1)	Total assets	10,225	9,769	10,916	12,225	13,515	14,920	16,801	18,425
Income/(loss) from uncons. subs.	-	-	-	19	-	-	-	-	Accounts payable	2,587	1,960	2,041	2,930	3,602	4,201	5,139	5,738
Others	14	(27)	156	89	140	161	197	220	Short-term loans	15	8	51	51	51	51	51	51
Pretax profits	911	337	375	551	742	979	1,160	1,273	Other current liabilities	2,481	2,597	3,376	3,353	3,379	3,411	3,437	3,453
Income tax	(102)	(11)	(6)	(36)	(53)	(77)	(89)	(96)	Total current liabilities	5,082	4,565	5,468	6,334	7,032	7,663	8,626	9,241
Minorities	-	-	-	-	-	-	-	-	Long-term debt	-	-	-	-	-	-	-	-
Net income pre-preferred dividends	809	326	368	515	689	902	1,071	1,177	Other long-term liabilities	24	40	56	62	68	75	82	91
Preferred dividends	-	-	-	-	-	-	-	-	Total long-term liabilities	24	40	56	62	68	75	82	91
Net income (pre-exceptionals)	809	326	368	515	689	902	1,071	1,177	Total liabilities	5,106	4,605	5,524	6,396	7,100	7,738	8,708	9,332
Post-tax exceptionals	-	-	-	-	-	-	-	-	Preferred shares	-	-	-	-	-	-	-	-
Net income	809	326	368	515	689	902	1,071	1,177	Total common equity	5,119	5,165	5,392	5,829	6,415	7,182	8,093	9,093
EPS (basic, pre-exception) (Rmb)	1.34	0.54	0.61	0.85	1.14	1.49	1.77	1.95	Minority interest	-	-	-	-	-	-	-	-
EPS (basic, post-exception) (Rmb)	1.34	0.54	0.61	0.85	1.14	1.49	1.77	1.95	Total liabilities & equity	10,225	9,769	10,916	12,225	13,515	14,920	16,801	18,425
EPS (diluted, post-exception) (Rmb)	1.34	0.54	0.61	0.85	1.14	1.49	1.77	1.95	BVPS	8.48	8.56	8.93	9.66	10.63	11.90	13.41	15.06
DPS (Rmb)	0.08	0.06	0.17	0.13	0.17	0.22	0.27	0.29									
Dividend payout ratio (%)	5.97	10.73	27.20	15.00	15.00	15.00	15.00	15.00									

Cash flow statement (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	Ratios	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net income pre-preferred dividends	809	326	368	515	689	902	1,071	1,177	ROE (%)	19.1	6.3	7.0	9.2	11.3	13.3	14.0	13.7
D&A add-back	99	119	116	128	138	153	171	192	ROA (%)	8.9	3.3	3.6	4.4	5.4	6.3	6.8	6.7
Minorities interests add-back	-	-	-	-	-	-	-	-	Cash conversion days	156.4	350.7	396.6	332.9	352.8	361.4	355.6	370.6
Net (inc)/dec working capital	(842)	(437)	681	(1,188)	(984)	(902)	(1,302)	(836)	Inventory days	392.5	518.3	520.3	462.6	494.5	506.4	495.6	516.8
Other operating cash flow	149	160	30	4	6	7	7	8	Receivables days	172.9	237.7	216.4	164.7	173.0	177.2	175.3	182.6
Cash flow from operations	215	169	1,196	(541)	(150)	160	(53)	541	Payable days	409.0	405.3	340.1	294.4	314.6	322.2	315.3	328.9
Capital expenditures	(412)	(106)	(116)	(200)	(250)	(300)	(350)	(400)	Net debt/equity (%)	(55.7)	(52.4)	(68.9)	(49.3)	(37.4)	(30.0)	(20.0)	(17.6)
Acquisitions	-	-	-	-	-	-	-	-	Interest cover - EBIT (X)	1,474.5	294.6	424.2	483.5	715.8	1,013.2	1,209.8	1,342.3
Divestitures	-	-	-	-	-	-	-	-									
Others	4	3	3	-	-	-	-	-	Growth & margins (%)	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E
Cash flow from investments	(408)	(103)	(112)	(200)	(250)	(300)	(350)	(400)	Sales growth	13.8	(24.2)	0.5	48.2	25.6	19.0	21.9	11.6
Dividends paid (common & pref)	(199)	(272)	(110)	(100)	(77)	(103)	(135)	(161)	EBITDA growth	73.8	(53.4)	(33.5)	66.7	37.8	35.2	18.1	11.2
Inc/(dec) in debt	-	-	-	-	-	-	-	-	EBIT growth	80.0	(61.9)	(44.6)	102.6	48.0	41.5	19.4	11.0
Common stock issuance (repurchase)	1,195	-	-	-	-	-	-	-	Net income growth	64.9	(59.7)	12.9	39.8	33.9	30.8	18.7	9.9
Other financing cash flows	71	51	82	-	-	-	-	-	EPS growth	55.0	(59.7)	12.9	39.8	33.9	30.8	18.7	9.9
Cash flow from financing	1,067	(221)	(28)	(100)	(77)	(103)	(135)	(161)	Gross margin	37.5	31.3	28.4	30.6	32.1	33.4	33.2	33.1
Total cash flow	873	(154)	1,055	(841)	(477)	(244)	(538)	(20)	EBITDA margin	24.4	15.0	9.9	11.2	12.2	13.9	13.5	13.4
									EBIT margin	21.9	11.0	6.1	8.3	9.8	11.6	11.4	11.3
									Net margin	20.6	10.9	12.3	11.6	12.4	13.6	13.2	13.0

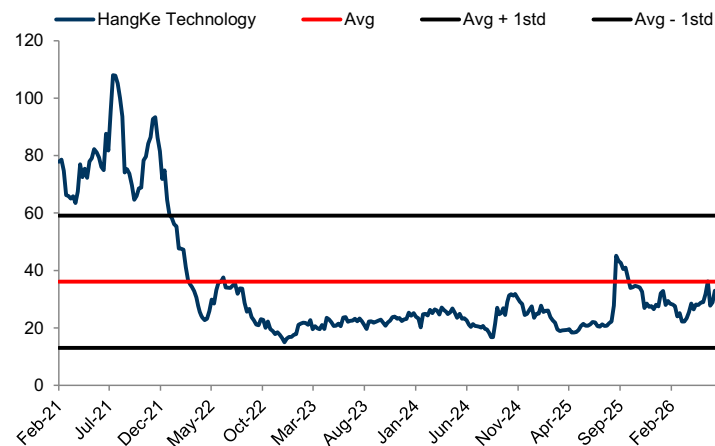
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 29: HangKe is trading at 21x 12-month forward P/E, around 1std below the historical average of 50x



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 30: HangKe is trading at 21x 12-month forward EV/EBITDA, around the historical average of 36x



Source: Company data, Goldman Sachs Global Investment Research

Investment thesis, valuation and risks

HangKe is a battery equipment manufacturer mainly focused on the core back-end battery manufacturing process (i.e., formation, grading, and testing), with more than 20 years of experience in battery charging and discharging technology, which plays a fundamental role in back-end procedures. We recognize HangKe's advantage as one of the few domestic back-end battery manufacturing equipment providers that can supply complete sets of core back-end equipment to both domestic and overseas lithium-ion battery manufacturers. We expect HangKe to benefit from the re-acceleration of battery capacity expansion in 2026E-27E, with battery makers' capacity reaching a new high driven by an ESS-led demand surge (per the GS China Battery team). However, we believe this front-loaded demand increase could be followed by a potentially negative swing from 2028E onward, decelerating the capacity expansion pace in 2028E-30E and moderating the sustainability of HangKe's forward order momentum. Meanwhile, unlike leading peers' full production line R&D coverage, HangKe's solid-state battery (SSB) equipment exposure is also limited to the back-end process, indicating a lower likelihood of securing high segment growth once the SSB technology matures. Further more, the early-stage commercialization of SSB has progressed slower than the market's optimistic expectations in 1H25. As a result, we view the stock valuation as fair vs. our revenue/net income CAGR forecasts over 2026E-30E. Hence, we are Neutral-rated.

Price Target Risks and Methodology - HangKe Technology

Price target: Our 12-month target price of Rmb22.8 is based on 20x 2027E P/E.

Key upside/downside risks: (1) Stronger-/weaker-than-expected EV sales in China and globally; (2) More/less durable ESS-led demand surge; (3) Better/worse-than-expected domestic market share expansion and order outlook; (4) Faster/slower-than-expected solid state battery (SSB) R&D and commercialization progress.

Exhibit 31: China Industrial Tech comp sheet

Price close as of Jul 21st, 2026. * Denotes that the stock is on the Conviction List (CL).

22 July 2026

Exhibit 32: Risks and valuations of the China Industrial Tech coverage - Buy (on CL)/Buy-rated names

Company	Ticker	Pricing Currency (PCY)	Target price	Last Close Price	Upside/ Downside	TP methodology	P/E multiple	Cost of Equity	Risks
Buy (on CL)									
Inovance	300124.SZ	CNY	92.9	61.5	51%	2027E P/E	35x	9.5%	Downside risks: (1) slower-than-expected industrial automation market share gains; (2) weaker-than-expected margin trends; (3) EV component segment ramp-up coming slower than expected; (4) general manufacturing capex/automation demand slowing down.
Buy									
Kstar	002518.SZ	CNY	67.0	33.8	98%	2028E P/E discounted back to 2027E	26x	11.0%	Key downside risks: (1) Lower-than-expected US ODM order growth; (2) Slower new product launches especially 800V DC products; (3) Lower-than-expected overseas ESS growth and margin.
Yingliu	603308.SS	CNY	82.4	46.6	77%	2030E P/E discounted back to 2027E	30x	10.0%	Downside risks: (1) Capacity ramp up comes in below expectations due to failure to improve yield rate or recruit skilled technicians; (2) Order intake growth below our expectations, potentially due to the long cycle to develop new SKU; (3) AIDC demand weakens with hyperscalers canceling orders for gas turbine manufacturers.
Lead Intelligent (H)	0470.HK	HKD	46.3	29.4	57%	2027E P/E	20x	10.5%	Downside risks: (1) A more severe pullback in EV development in China and globally; (2) Weaker-than-expected ESS capacity expansion progress; (3) Slower-than-expected expansion in new business segments (solar PV, consumer electronics, etc.).
Sanhua (H)	2050.HK	HKD	41.2	26.2	57%	2030E P/E discounted back to 2026E	25x	9.5%	Sanhua-H key downside risks: (1) Slower-than-expected revenue contribution from humanoid robots; (2) Worse-than-expected global EV sales; (3) Worse-than-expected home appliance sales.
Lead Intelligent (A)	300450.SZ	CNY	50.8	32.8	55%	2027E P/E	25x	10.5%	Downside risks: (1) A more severe pullback in EV development in China and globally; (2) Weaker-than-expected ESS capacity expansion progress; (3) Slower-than-expected expansion in new business segments (solar PV, consumer electronics, etc.).
Yiheda	301029.SZ	CNY	36.8	25.8	43%	2027E P/E	32x	11.5%	Downside risks: (1) Slower than expected SKU expansion; (2) Weak FA demand; (3) Intense competition.
Envicool	002837.SZ	CNY	84.6	60.0	41%	2028E P/E discounted back to 2027E	42x	10.0%	Downside risks: (1) Slow R&D/business progress with key customers; (2) tougher liquid cooling competition and margin risks; (3) ESS demand growth hiccups; (4) geopolitical changes impacting global server/data center and ESS supply chain.
Hongfa	600885.SS	CNY	45.0	32.8	37%	2028E P/E discounted back to 2027E	24x	10.5%	Downside risks: (1) Weaker-than-expected smart meter revenue recognition; (2) Weaker-than-expected revenue from auto relay; (3) Further increase in copper and silver prices that negatively impacts GPM.
Huaming	002270.SZ	CNY	23.9	17.9	33%	2028E P/E discounted back to 2027E	22x	9.5%	Up/downside risks: 1) Better/worse-than-expected overseas share gain; 2) Better/worse-than-expected margin profile; 3) Better/worse-than-expected domestic revenue growth.
Sieyuan	002028.SZ	CNY	203.7	155.9	31%	2028E P/E discounted back to 2026E	25x	9.5%	Downside risks: 1) Overseas execution risk; 2) margin may come below our expectations; 3) Slowdown in data center construction pace.
Centre Testing	300012.SZ	CNY	17.7	13.6	30%	2027E P/E	21x	9.5%	Downside risks: (1) Any damage to the company's credibility; (2) intensifying pricing competition; (3) greater account receivables risk from the 3rd National Soil Census; (4) potential impairment due to acquisitive growth.
CRRC (H)	1766.HK	HKD	6.3	4.9	29%	2026E P/E	11x	11.5%	Downside risks: (1) Lower-than-expected overseas railway equipment demand; (2) Less aggressive ICE locomotive retirement plan; (3) Slower-than-expected CR450 series MUs delivery and operation progress; (4) Lower-than-expected margins/ROE.
Nari Tech	600406.SS	CNY	30.6	23.8	29%	2027E P/E	25x	9.5%	Downside risks: 1) Lower-than-expected fiscal support and the State Grid announcement for 2025 budget, 2) UHV project approval pace falling behind its announced work plan.
Shuanghuan	002472.SZ	CNY	46.8	37.7	24%	2027E P/E	25x	9.5%	Downside risks: (1) Lower-than-expected market share in NEV segment; (2) Lower-than-expected GPM improvement; (3) Lower-than-expected industrial robot gears revenue.
Haitian International	1882.HK	HKD	25.1	20.5	23%	2026E P/E	11x	11.0%	Downside risks: (1) Weaker-than-expected domestic demand and order growth; (2) Weaker-than-expected growth momentum in overseas markets such as India/Southeast Asia/Mexico; (3) Weaker-than-expected margin trend.
Techtronic	0669.HK	HKD	152.4	129.9	17%	2027E P/E	21x	11.5%	Downside risks: (1) Slowdown of US businesses/residential FAI, (2) Slower product innovation; (3) Changes in international trade/tax policy; and (4) US-China tariff impacts.
Faratronic	600563.SS	CNY	150.2	130.5	15%	2027E P/E	22x	10.5%	Downside risks: (1) Significant pullback of key downstream segments such as EV/solar power/wind power development in China and globally; (2) Significant development of aluminum electrolytic and MLCC technology that could potentially disrupt film capacitor adoption; (3) Lower-than-expected market share in NEV space due to competition.

Price close as of Jul 21st, 2026.

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 33: Risks and valuations of the China Industrial Tech coverage - Neutral/Sell-rated names

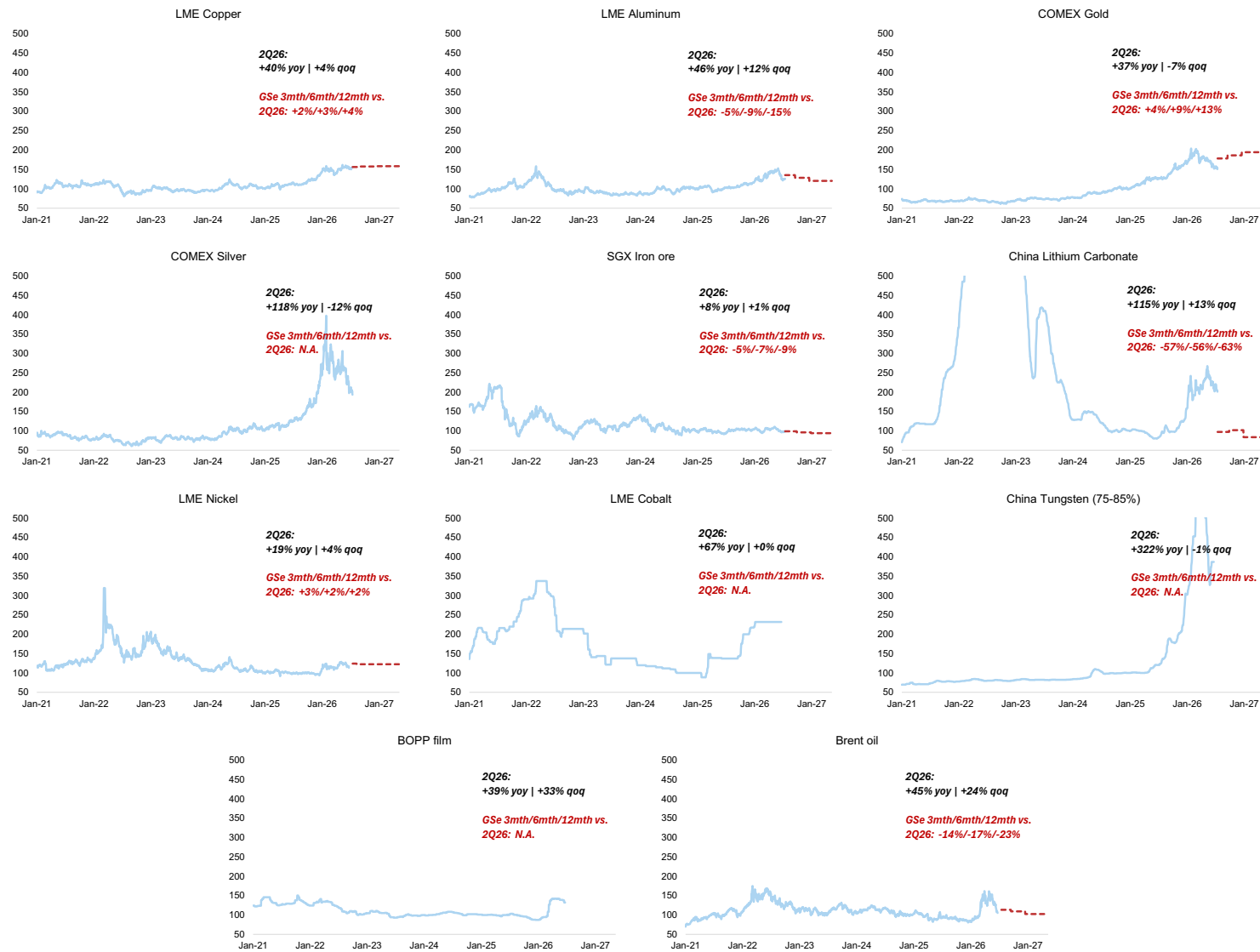
Company	Ticker	Pricing Currency (PCY)	Target price	Last Close Price	Upside/ Downside	TP methodology	P/E multiple	Cost of Equity	Risks
Neutral									
Sungrow	300274.SZ	CNY	128.9	104.1	24%	2027E P/E	22x	11.0%	Up/downside risks: (1) Prolonged/moderating material cost inflation; (2) Faster/slower production footprint diversification; (3) Intensifying/leaving global ESS industry competition; (4) Faster/slower commercialization progress on AIDC power and AIDC related ESS products.
BEST	300580.SZ	CNY	23.0	20.0	15%	2030E P/E discounted back to 2027E	32x	9.5%	Upside risks: (1) faster transmission components development; (2) faster EV parts capacity ramp-up. Downside risks: (1) slower turbocharger penetration growth; (2) lower-than-expected margins due to competition or pricing pressure.
Kehua	002335.SZ	CNY	35.0	30.6	14%	2027E P/E	30x	10.5%	Up/downside risks: (1) Faster/Slower-than-expected overseas (especially US) expansion progress; (2) Better/worse-than-expected domestic hyperscaler capex; (3) Better/worse-than-expected price competition on domestic data center/ESS products.
Han's Laser	002008.SZ	CNY	113.0	100.9	12%	2027E P/E	30x	11.5%	Upside risks: (1) Faster development in new AI related businesses; (2) Faster vertical integration of core components. Downside risks: (1) End-market capex growth slowdown; (2) Customer concentration risk.
AVIC Jonhon	002179.SZ	CNY	37.5	34.1	10%	2027E P/E	22x	9.5%	Upside risks: (1) Faster-than-expected liquid cooling demand; (2) Faster-than-expected overseas expansion. Downside risks: (1) Weaker-than-expected defense spending and procurement activity; (2) Intensifying competition in civil markets.
Bochu	688188.SS	CNY	108.0	100.6	7%	2026E P/E	30	11.5%	Upside risks: (1) Faster-than-expected laser equipment export growth; (2) Faster-than-expected robot welding system penetration. Downside risks: (1) Slower-than-expected share gain in high power laser control system; (2) Weaker-than-expected laser industry growth.
Times Electric (H)	3898.HK	HKD	37.1	34.5	7%	2026E P/E derived SOTP	n.a.	10.0%	Up/downside risks: (1) Faster/slower-than-expected SIC capacity ramping-up and market share gain; (2) Higher/lower-than-expected MU/locomotive tendering; (3) Higher/lower-than-expected margins; (4) Faster/slower-than-expected overseas expansion.
HangKe	688006.SS	CNY	22.8	21.3	7%	2027E P/E	20x	11.5%	Up/downside risks: (1) Stronger/weaker-than-expected EV sales in China and globally; (2) More/less durable ESS-led demand surge; (3) Better/worse-than-expected domestic market share expansion and order outlook; (4) Faster/slower-than-expected SSB (solid state battery) R&D and commercialization progress.
Sanhua (A)	002050.SZ	CNY	39.8	38.1	4%	2030E P/E discounted back to 2026E	25x	9.5%	Sanhua-A key up/downside risks: (1) Faster/Slower-than-expected revenue contribution from humanoid robots; (2) Better/Worse-than-expected global EV sales; (3) Better/Worse-than-expected home appliance sales.
Times Electric (A)	688187.SS	CNY	50.6	49.3	3%	2026E P/E derived SOTP	n.a.	10.0%	Up/downside risks: (1) Faster/slower-than-expected SIC capacity ramping-up and market share gain; (2) Higher/lower-than-expected MU/locomotive tendering; (3) Higher/lower-than-expected margins; (4) Faster/slower-than-expected overseas expansion.
CRRC (A)	601766.SS	CNY	5.7	6.0	-5%	2026E P/E	11x	11.5%	Up/downside risks: (1) Higher/lower-than-expected overseas railway equipment demand; (2) More/Less aggressive ICE locomotive retirement plan; (3) Quicker/Slower-than-expected CR450 series MUs delivery and operation progress; (4) Higher/Lower-than-expected margins/ROE.
Luster	688400.SS	CNY	40.1	47.0	-15%	2030E P/E discounted back to 2027E	30x	11.5%	Up/downside risks: (1) Faster/slower-than-expected penetration and recovery in new energy sector; (2) Faster/slower-than-expected development on vision software; (3) Better/worse-than-expected motion capture business development; (4) Easing/Intensifying pricing competition in the machine vision industry.
OPT	688686.SS	CNY	100.0	120.3	-17%	2027E P/E	35x	11.5%	Upside risks: (1) Faster-than-expected AI adoption; (2) Faster-than-expected overseas expectation. Downside risks: (1) Over-reliance on the consumer electronics industry/single customer; (2) Pricing and margin decline due to competition.
Megmeet	002851.SZ	CNY	112.0	135.2	-17%	2028E P/E	32x	11.0%	Up/downside risks: (1) Faster/slower AI server PSU market share gain within NVIDIA ecosystem; (2) Faster/slower product validation progress with ASIC hardware supply chains; (3) Better/worse-than-expected execution on mass production; (4) Shorter/longer R&D cycles on 800VDC power products; (5) Faster/slower industry adoption on 800V DC power distribution architecture; (6) Global AI capex growth sustainability and AIDC supply/demand dynamics.
Estun (H)	2715.HK	CNY	11.8	18.7	-37%	2030E P/E discounted back to 2027E	25x	11.5%	Up/downside risks for Estun-H: (1) Faster/Slower-than-expected robotics market share gains; (2) Better/Worse-than-expected margin trend; (3) Faster/Slower-than-expected humanoid robot development progress.
LeaderDrive	688017.SS	CNY	186.7	326.7	-43%	2030E P/E discounted back to 2027E	50x	11.5%	Upside risks: (1) faster-than-expected volume production and/or technology advancement of humanoid robots; (2) faster-than-expected penetration into key robot customers (especially foreign brands). Downside risks: (1) worse-than-expected domestic industrial/collaborative robot demand; (2) more competition pressure from overseas and local brands.
Sell									
Baosight	600845.SS	CNY	15.0	19.0	-21%	2027E P/E	25x	10.5%	Upside risks: (1) faster expansion into ex-steel markets; (2) faster industry consolidation progress of Baowu Group; (3) faster commercialization of new products.
Moons' Electric	603728.SS	CNY	39.6	50.0	-21%	2027E P/E	37x	9.5%	Upside risks: (1) faster-than-expected humanoid robots progress; (2) higher coreless motor adoption in dexhand or blended market share vs. our expectations; (3) stronger-than-expected product competitiveness and share gain progress in Motors & Drives.
Jianghai	002484.SZ	CNY	54.7	72.6	-25%	2028E P/E discounted back to 2027E	30x	10.5%	Upside risks: (1) faster-than-expected LIC and MLPC customer qualification progress; (2) higher-than-expected market share gains in LIC, MLPC, and aluminum electrolytic capacitors; (3) stronger AIDC demand, capacitor content growth, and pricing than our expectations.
Supcon	688777.SS	CNY	44.5	94.6	-53%	2026E P/E	28x	10.5%	Upside risks: (1) Higher contribution from new initiatives; (2) Stronger-than-expected chemicals investment cycle; (3) Faster overseas expansion progress; (4) Faster domestic DCS market share gain.
Estun (A)	002747.SZ	CNY	14.9	33.4	-55%	2030E P/E discounted back to 2027E	35x	11.5%	Upside risks for Estun-A: (1) Faster than expected robotics market share gains; (2) Better-than-expected margin trend; (3) Faster-than-expected humanoid robot development progress.
Raycus	300747.SZ	CNY	14.8	34.4	-57%	2026E P/E	30x	11.5%	Upside risks: (1) Faster-than-expected laser system growth; (2) Faster-than-expected high power product development; (3) Easing pricing pressure.

Price close as of Jul 21st, 2026.

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 34: Key commodity price trends

Indexed commodities price (Jan 1, 2025 = 100)



Spot prices as of Jul 17th, 2026.

Source: Wind, Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

I, Jacqueline Du, hereby certify that all of the views expressed in this report accurately reflect my personal views about the subject company or companies and its or their securities. I also certify that no part of my compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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The rating(s) for Best, Faratronic, Haitian International Holdings, Han's Laser Technology, HangKe Technology, Hongfa Technology, Lead Intelligent (A), Lead Intelligent (H), Leader Harmonious Drive Systems Co., Luster LightTech Co., NARI Technology, Nantong Jianghai Capacitor Co., Shenzhen Inovance Technology Co., Shuanghuan Driveline and Techtronic Industries is/are relative to the other companies in its/their coverage universe: AVIC Jonhon, Best, Bochu, CRRC Corp. (A), CRRC Corp. (H), Centre Testing Intl Group, Estun Automation Co.(A), Estun Automation Co.(H), Faratronic, Haitian International Holdings, Han's Laser Technology, HangKe Technology, Hongfa Technology, Huaming, Kehua Data Co., Lead Intelligent (A), Lead Intelligent (H), Leader Harmonious Drive Systems Co., Luster LightTech Co., Megmeet, Moons' Electric, NARI Technology, Nantong Jianghai Capacitor Co., OPT Machine Vision Tech Co., Sanhua Intelligent Controls (A), Sanhua Intelligent Controls (H), Shanghai Baosight Software, Shenzhen Envicool Technology, Shenzhen Inovance Technology Co., Shenzhen Kstar Science & Tech, Shuanghuan Driveline, Sieyuan Electric, Techtronic Industries, Wuhan Raycus Fiber Laser Tech, Yiheda Automation, Yingliu, Zhejiang Supcon Technology Co., Zhuzhou CRRC Times Electric Co. (A), Zhuzhou CRRC Times Electric Co. (H)

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Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
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Price target and rating history chart(s)

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Target price history table(s)

Lead Intelligent (H) (0470.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
28-Apr-26	55.60	57.60
07-Apr-26	50.80	42.40

Hongfa Technology (600885.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
30-Apr-26	37.20	31.14
03-Apr-26	35.30	25.57
24-Feb-26	35.40	30.93
12-Jan-26	36.40	31.36
03-Nov-25	30.80	30.77
06-Aug-25	29.50	24.57
07-May-25	41.60	23.72
11-Mar-25	38.00	24.99
26-Dec-24	37.80	22.20
04-Nov-24	38.30	22.77
18-Oct-24	38.00	23.09
12-Aug-24	37.30	20.54
18-Jul-24	37.10	19.86
09-May-24	36.00	20.35
01-Apr-24	32.90	18.68
08-Jan-24	32.50	17.77
07-Nov-23	42.90	20.88
06-Sep-23	49.80	24.61

Leader Harmonious Drive Systems Co. (688017.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
23-Apr-26	138.00	203.77
24-Feb-26	123.00	232.70
03-Nov-25	124.10	159.50

Shenzhen Inovance Technology Co. (300124.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
01-Jun-26	92.90	74.50
28-Apr-26	86.00	61.36
24-Feb-26	75.40	74.35

Leader Harmonious Drive Systems Co. (688017.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
17-Aug-25	124.20	148.31
06-Aug-25	112.90	140.13
13-May-25	131.40	146.06
07-May-25	119.60	146.07
20-Feb-25	134.60	169.83
12-Jan-25	111.30	120.04
04-Nov-24	61.20	106.20
05-Sep-24	60.10	65.04
18-Jul-24	93.00	71.70
09-May-24	107.50	115.31
01-Mar-24	128.40	129.88
08-Jan-24	149.50	131.96
06-Sep-23	122.00	117.20

Shenzhen Inovance Technology Co. (300124.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
26-Oct-25	82.10	78.38
02-Oct-25	82.50	83.82
06-Aug-25	75.50	65.86
13-May-25	80.50	69.28
30-Apr-25	74.80	71.59
11-Mar-25	87.10	78.05
26-Dec-24	61.20	60.08
18-Oct-24	61.10	58.50
05-Sep-24	54.20	42.58
27-Aug-24	65.00	41.70
01-Jul-24	70.60	49.90
09-May-24	74.30	63.68
23-Apr-24	67.90	59.95
08-Jan-24	69.00	58.80
30-Oct-23	88.80	61.08
06-Sep-23	97.10	70.03
22-Aug-23	88.60	68.01

Haitian International Holdings (1882.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
24-Feb-26	27.80	25.00
01-Dec-25	26.70	22.14
19-Aug-25	26.80	21.58
06-Aug-25	27.20	21.40
13-May-25	28.30	19.44
21-Apr-25	26.20	17.16
18-Mar-25	29.10	23.25
26-Dec-24	31.10	19.78
27-Aug-24	32.50	21.50
09-May-24	31.90	27.45
25-Mar-24	27.40	22.55
08-Jan-24	19.20	18.06
06-Sep-23	20.60	16.50
22-Aug-23	18.60	17.12

Luster LightTech Co. (688400.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
05-May-26	29.50	59.32
24-Feb-26	26.10	45.73
22-Dec-25	26.40	40.64
03-Nov-25	25.00	39.36
02-Oct-25	25.20	47.87
02-Sep-25	23.60	40.61
06-Aug-25	22.10	33.87
13-May-25	15.30	28.68
07-May-25	14.00	28.64
12-Mar-25	13.20	37.50
04-Nov-24	11.00	23.60
18-Oct-24	11.30	20.25
05-Sep-24	10.60	17.67
18-Jul-24	13.20	14.11
09-May-24	14.90	18.68
28-Mar-24	18.10	20.76
01-Nov-23	18.60	23.62
06-Sep-23	20.20	25.98

Shuanghuan Driveline (002472.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
05-May-26	48.20	39.27

Techtronic Industries (0669.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
04-Mar-26	128.20	121.80

Shuanghuan Driveline (002472.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
24-Feb-26	42.50	42.89
02-Oct-25	44.80	49.81
27-Aug-25	42.60	36.51
06-Aug-25	44.70	36.35
07-May-25	45.00	34.32
11-Mar-25	39.70	38.21
18-Oct-24	31.60	29.44
05-Sep-24	29.10	21.41
18-Jul-24	29.80	21.77
09-May-24	29.90	24.36
08-Jan-24	27.10	23.88
06-Sep-23	32.20	33.42

Techtronic Industries (0669.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
24-Feb-26	112.30	123.40
19-Nov-25	111.30	84.00
06-Aug-25	110.10	95.20
13-May-25	101.40	92.95
28-Apr-25	92.30	78.80
05-Mar-25	116.40	107.90
08-Oct-24	119.30	110.90
08-Aug-24	120.40	97.70
18-Jul-24	122.20	98.90
09-May-24	122.80	111.50
07-Mar-24	110.20	93.65
08-Jan-24	113.30	85.15
30-Oct-23	96.70	72.85
06-Sep-23	100.80	76.90
10-Aug-23	90.40	78.95

NARI Technology (600406.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
05-May-26	31.50	25.97
17-Apr-26	29.20	26.81
24-Feb-26	29.90	26.86
22-Dec-25	30.10	22.96
27-Aug-25	30.20	22.00
29-Apr-25	31.80	22.21
20-Jan-25	29.00	22.87
13-Sep-23	32.00	22.76
11-Aug-23	27.92	23.59

Han's Laser Technology (002008.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
21-Apr-26	110.00	92.80
05-Mar-26	97.00	71.48
24-Feb-26	51.50	58.83
22-Oct-25	49.80	36.73
02-Sep-25	44.80	34.34
06-Aug-25	25.50	27.02
13-May-25	26.30	24.67
07-May-25	24.10	23.90
12-Mar-25	23.50	28.84
04-Nov-24	23.10	25.55
18-Oct-24	22.70	23.98
05-Sep-24	21.10	19.09
09-May-24	21.60	21.34
08-Jan-24	19.30	18.71
24-Oct-23	24.30	20.28
06-Sep-23	26.80	23.51
22-Aug-23	27.90	22.53

Nantong Jianghai Capacitor Co. (002484.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
05-May-26	39.20	38.35
24-Feb-26	35.50	31.18
12-Jan-26	36.10	31.81
22-Dec-25	28.60	27.93

Lead Intelligent (A) (300450.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
28-Apr-26	61.00	55.36
07-Apr-26	55.70	47.55
24-Feb-26	47.20	54.31
26-Jan-26	49.30	61.89

Nantong Jianghai Capacitor Co. (002484.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
02-Sep-25	28.50	32.98
06-Aug-25	14.70	27.03
07-May-25	14.80	18.55
11-Mar-25	14.90	22.97
04-Nov-24	14.80	15.11
18-Oct-24	15.30	14.70
05-Sep-24	14.80	12.84
18-Jul-24	18.60	12.79
09-May-24	19.40	16.25
08-Jan-24	20.20	14.19
31-Oct-23	22.70	17.18
06-Sep-23	25.00	18.54
28-Aug-23	22.60	17.43

Lead Intelligent (A) (300450.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
03-Nov-25	44.10	54.80
28-Sep-25	42.20	65.49
01-Sep-25	21.10	40.70
06-Aug-25	18.70	26.35
12-Mar-25	16.50	23.97
04-Nov-24	15.80	18.55
05-Sep-24	15.40	14.32
18-Jul-24	23.30	16.71
09-May-24	24.30	22.50
20-Mar-24	26.00	24.94
08-Jan-24	25.40	23.70
02-Nov-23	36.80	27.15
06-Sep-23	36.70	29.30

HangKe Technology (688006.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
05-May-26	22.80	31.90
24-Feb-26	20.50	30.15
03-Nov-25	22.20	31.88
28-Sep-25	22.90	35.95
01-Sep-25	17.10	30.15
06-Aug-25	17.00	20.75
07-May-25	15.70	17.15
12-Mar-25	15.90	20.21
04-Nov-24	16.70	18.53
05-Sep-24	16.50	15.48
18-Jul-24	20.20	16.86
09-May-24	20.30	22.13
08-Jan-24	21.70	21.93
02-Nov-23	28.70	24.03
06-Sep-23	28.60	27.49

Faratronic (600563.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
05-May-26	129.90	118.02
29-Mar-26	130.90	142.68
24-Feb-26	113.90	113.82
22-Dec-25	119.60	102.64
18-Aug-25	126.00	118.00
06-Aug-25	125.10	111.41
07-May-25	127.00	106.11
24-Mar-25	115.60	112.70
11-Mar-25	134.60	129.65
26-Dec-24	118.50	118.96
04-Nov-24	116.80	128.90
18-Oct-24	103.20	113.42
05-Sep-24	96.50	84.89
26-Aug-24	117.90	78.25
18-Jul-24	115.50	85.64
09-May-24	115.10	99.29
27-Mar-24	119.30	98.80
08-Jan-24	116.60	81.09
31-Oct-23	141.80	99.81
06-Sep-23	160.80	113.55
28-Aug-23	145.50	108.67

Sungrow Power Supply Co. (300274.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
27-Apr-26	135.00	131.39
31-Mar-26	150.00	150.76

Best (300580.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
05-May-26	26.40	28.95
24-Feb-26	24.10	24.39

Sungrow Power Supply Co. (300274.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
24-Feb-26	157.30	150.61
29-Oct-25	162.30	191.49
07-Oct-25	148.90	161.98
26-Aug-25	79.70	97.01
31-Jul-25	69.80	72.00
13-May-25	66.80	67.80
28-Apr-25	61.40	62.60
15-Apr-25	90.00	57.29
04-Dec-24	100.30	79.91
31-Oct-24	102.00	90.62
26-Aug-24	101.10	71.44
11-Jul-24	95.90	59.82
08-Aug-23	200.00	79.29
26-Jul-23	195.00	78.13

Best (300580.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
03-Nov-25	25.40	26.10
15-Aug-25	24.50	27.15
06-Aug-25	23.70	27.06
07-May-25	27.10	28.11
21-Apr-25	24.70	26.40
20-Feb-25	28.20	32.70
12-Jan-25	29.70	24.31
26-Dec-24	20.40	25.58
04-Nov-24	19.60	19.81
18-Oct-24	19.90	16.85
05-Sep-24	19.60	13.81
09-Aug-24	22.00	13.72
18-Jul-24	24.50	13.62
09-May-24	38.65	18.49
08-Jan-24	35.46	18.56

Price targets shown in table(s) are unadjusted for corporate actions.

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